

party equal to or in excess of 3% of the fair value of their assets (taking into account restrictions on the Enron stock). The Examiner has previously concluded, however, that despite this equity, the Raptor entities failed to satisfy the 3% Equity Test³⁵⁸ and thus should have been consolidated with Enron because the equity was provided by LJM2, the general partner of which was Fastow. The Examiner believes that because of this relationship, equity provided by LJM2 should not be viewed as provided by an “independent” third party as required by the GAAP literature applicable to determining whether an SPE should be consolidated with its Sponsor.³⁵⁹

³⁵⁸ See Second Interim Report, Appendix B (Accounting Standards), at 26-39 (discussing 3% Equity Test).

³⁵⁹ Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding the LJMII Partnership Structure, Dec. 31, 1999, as amended, Oct. 12, 2001 (“Raptor Memo #1A”), at 2 (“we determined that the SPE capital threshold was met with respect to any transaction LJMII may undertake directly with Enron”) (listed in Annex 1 to this Appendix) [AA000012507-AA000012510]. Andersen concludes without analysis that LJM2’s equity can be counted toward satisfying the 3% Equity Test in Raptor 1, except to the extent it was attributable to Fastow or borrowed funds. Raptor Memo #3; *see also* Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding the Raptor Transaction, Mar. 28, 2000, as amended, Oct. 12, 2001 (“Raptor Memo #3A”) [AAEX0179573-AAEX0179580]. All three memos were initialed by the authors and indicated concurrence by John Stewart of the PSG on this issue.

When asked how the PSG could reconcile such a conclusion with Andersen’s leasing book, which states that equity from a FAS 57 related party could not be viewed as coming from an independent person, *see* U.S. Professional Standards Group, Andersen, “Accounting for Leases; Interpretation of FASB Statement No. 13, Accounting for Leases, as amended, “Andersen Worldwide Organization (May 1, 2001), Appendix I (“Use of Special Purpose Entities in Lease Transactions”), at 4, Stewart stated that in his view LJM2 was not a FAS 57 related party to Enron but rather its general partner, Fastow, was the related party. Footnote 16 to Andersen’s 2000 financial statements, however, describes LJM2 as the “Related Party.”

FAS 57 provides that related parties include “other parties with which the enterprise may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties may be prevented from fully pursuing its own separate interests.” As stated in the offering memorandum pursuant to which LJM2’s equity investment was raised, the purpose of LJM2 was to engage in transactions with Enron and the presence of Fastow as the general partner of LJM2 and the CFO of Enron was considered to be a substantial benefit to LJM2. Private Placement Memorandum of LJM2 Co-Investment, L.P., Oct. 13, 1999, at 5 (LJM2 was “uniquely positioned to capitalize on Enron’s need for outside capital due to the Principals’ [Fastow and Kopper] familiarity with Enron’s assets and their understanding of Enron’s objectives and LJM’s ability to quickly execute transactions”) [PSI00096969-PSI00097017]. Although it is not clear that Andersen reviewed the LJM2 offering memorandum, it is clear that Andersen knew that the purpose of LJM2 was to engage in transactions with Enron. Raptor Memos #1 and #1A both provide that:

As previously mentioned, Andersen concluded that Enron had improperly accounted for the aggregation of the Raptor indebtedness at the end of 2000 and in the first and second quarters of 2001.³⁶⁰ With regard to the Aggregation Issue, Bass advised the Engagement Team prior to the issuance of the 2000 financial statements that if the four Raptor entities “were truly cross collateralized that seemed OK to me.”³⁶¹ The Examiner has seen no evidence indicating that the Engagement Team or Bass believed that Enron had failed to achieve “true cross collateralization” as of December 31, 2000,

We were informed by a senior officer of Enron (CFO) that he saw a unique opportunity to match various capital providers wanting to diversify into sectors in which he had experience with the needs Enron and other companies like Enron had for a high degree of third party equity capital. In effect, he wanted to form his own private equity fund

....

Since LJMII planned to transact business at least initially with Enron, we determined that we should view LJMII as an Enron sponsored SPE. We informed Enron that, at some point, we might reconsider our view of LJMII as an SPE and such reconsideration would be based on the number of third party transactions and the size of those transactions to the operations of the entity as a whole

Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding LJMII Partnership Structure, Dec. 31, 1999 (“Raptor Memo #1”) [AB0648 00593-AB0648 00606]; Raptor Memo #1A. Thus, Andersen knew that the dominant operations or activities of LJM2, like those of LJM1 before it, would be to engage in transactions with Enron “at least initially.”

It is difficult to contend that Enron could not significantly influence the management or operating policies of LJM2 when LJM2 was formed principally to engage in transactions with Enron, and Enron could in fact deprive LJM2 of a significant feature of its management and operating policies by terminating Fastow as Enron’s CFO or requiring Fastow to resign as general partner of LJM2 as a condition to remaining employed by Enron or simply refusing to permit Fastow to cause Enron to engage in transactions with LJM2. The fact that LJM2’s limited partners upon a 75% vote (later reduced to 66-2/3%) could remove Fastow, while relevant in determining whether Enron should consolidate LJM2, does not eliminate Enron’s ability to significantly influence LJM2’s management or operating policies. *See* Raptor Memo #4; *see also* Investor’s Accounting for an Investee When the Investor Has a Majority of the Voting Interest but the Minority Shareholder or Shareholders Have Certain Approval or Veto Rights, 2 EITF Abstracts (FASB) 96-16 (July 23, 1998) (“EITF 96-16”). Moreover, just as Enron could significantly influence LJM2, LJM2, through Fastow, could and did significantly influence Enron. Indeed, the evidence suggests that Enron was prevented from fully pursuing its own separate interests by entering into numerous transactions that were unfair to Enron, notwithstanding the Board’s establishment of controls designed to prevent non-arms-length transactions.

³⁶⁰ Stewart testified that when he read the Raptor memos sent to him on September 14, 2001, he was upset because, among other things, “[I]t became apparent that some of the advice we had given had not been followed.” Andersen Criminal Trial Transcript, at 5414 (testimony of John Stewart, May 30, 2002).

³⁶¹ Bass 3/4/01 Email.

as a result of a forty-five day cross collateralization letter between LJM2 and Enron. However, the essence of the PSG's ultimate advice on the Aggregation Issue, and of Enron's (and Andersen's) error, was that there was no way to achieve "true cross collateralization" of the Raptors in a manner that was consistent with GAAP.³⁶²

F. Andersen's Role in the Tax Transactions

As discussed in the Second Interim Report, Enron's tax department consummated eleven Tax Transactions that generated \$886.5 million of net income benefits from December 1995 through September 2001.³⁶³ Five of these transactions (the Steele, Cochise, Teresa, Condor and Tammy I Transactions) were the most aggressive in terms of the manipulation of FAS 109,³⁶⁴ and the Examiner concluded that the accounting for each of these transactions violated GAAP.³⁶⁵

³⁶² See Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding Raptor Transaction Update, May 9, 2001, as amended, Oct. 12, 2001 ("Raptor Memo #9A"), at 3 [AAEX0179587-AAEX0179593].

³⁶³ See Second Interim Report, Appendix J (Tax Transactions), at 8-9.

³⁶⁴ Accounting for Income Taxes, Statement of Financial Accounting Standards No. 109 (Financial Accounting Standards Bd. 1992) ("FAS 109"). Under FAS 109, "deferred tax assets" and "deferred tax liabilities" are recognized for the estimated future tax effects attributable to "temporary differences" between (i) the amount of taxable income or expense reported on a company's income tax returns and the amount reported in its financial income statements and (ii) the tax basis in assets or liabilities and the reported amounts of such assets or liabilities in a company's financial statements. See Second Interim Report, Appendix J (Tax Transactions), *Accounting for Deferred Taxes Under FAS 109*. Over time, these temporary differences will reverse, with a deferred tax asset creating taxable income and a deferred tax liability creating a deduction. *Id.*

³⁶⁵ See Second Interim Report, Appendix J (Tax Transactions).

Andersen played a key role in these transactions. Its New York office³⁶⁶ issued “SAS 50 letters”³⁶⁷ to BT/Deutsche and Chase Securities on the underlying hypothetical transactions marketed to Enron or prepared similar memoranda directly for Enron.³⁶⁸ This work product generally was furnished to Enron³⁶⁹ and, at least in one instance,

³⁶⁶ Andersen maintained an “on-call group” in its New York office whose primary function was to advise intermediaries such as investment banks about the accounting and tax consequences of hypothetical transactions being developed by those intermediaries. Sworn Statement of H Ronald Weissman, Andersen, to Philip C. Cook, A&B, May 14, 2003 (the “Weissman Sworn Statement”), at 18. Andersen typically was engaged by the intermediaries on an hourly basis and, as a by-product of this advice, may have issued a “SAS 50 letter” summarizing Andersen’s tax and accounting analysis of a hypothetical transaction at a specific point in time. *Id.* at 18-20; Sworn Statement of Thomas Finley, former Managing Director, Bankers Trust, to Philip C. Cook, A&B, Apr. 30, 2003 (the “Finley Sworn Statement”), at 18-19, 22; Sworn Statement of Brian J. McGuire, Managing Director, Deutsche Bank, to Philip C. Cook, A&B, May 2 and 7, 2003 (the “McGuire Sworn Statement”), at 95. To the extent that these engagements included tax consequences of a transaction, the on-call group may have consulted with other professionals in Andersen’s New York office. Weissman Sworn Statement, at 21, 23. Andersen and the banks had an understanding that, if a hypothetical transaction was taken to one of Andersen’s audit clients, Andersen’s on-call group would be notified so that it could contact the engagement team and assist in their analysis of the transaction. *Id.* at 114.

³⁶⁷ See SAS 50 (AU § 625). A SAS 50 letter is not binding on local engagement teams reviewing the accounting treatment of an actual transaction, and it does not preclude Andersen from changing its views on a particular issue at a later time. Weissman Sworn Statement, at 52-53.

³⁶⁸ Letter from Andersen to BT Securities Corporation, May 12, 1995 [AB0074 1228-AB0074 1233]; Letter from Andersen to Bankers Trust, July 26, 1995 [AB0074 1235-AB0074 1246]; Letter from Andersen to Bankers Trust, Aug. 11, 1997 (the “Steele SAS 50 Letter”) [DBC 017408-DBC 017420]; Letter from Andersen to Bankers Trust, Aug. 6, 1998 (the “First Cochise SAS 50 Letter”) [AB0074 0577-AB0074 0592]; Letter from Andersen to Bankers Trust, Nov. 13, 1998 (the “Second Cochise SAS 50 Letter”) [AB0074 0558-AB0074 0576]; Letter from Andersen to Bankers Trust, May 26, 1999 (the “Third Cochise SAS 50 Letter”) [AB00074 0539-AB0074 0557]; Letter from Andersen to Chase Securities, Sept. 29, 1999 [AB000187050-AB000187055]; Tomas Accounting Memo; Tammy I Accounting Memo; *see also* Second Interim Report, Appendix J (Tax Transactions); Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates). Andersen’s on-call group also was engaged to issue a SAS 50 letter on the Tomas and Valhalla Transactions, but Andersen never issued the SAS 50 letter on the Tomas Transaction because it prepared an accounting memorandum directly for Enron instead. *See* Facsimile from Brian McGuire, Bankers Trust, to John Buser, Akin Gump, May 27, 1998 (attaching draft letter from Andersen to Bankers Trust, May 26, 1998) [AGS34208-AGS34219]; Letter from Andersen to Deutsche Bank, Sept. 22, 1999 [AB000188607-AB000188612]; Weissman Sworn Statement, at 44-45, 54-56; McGuire Sworn Statement, at 298-300.

³⁶⁹ *See* Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 76 n.363; Weissman Sworn Statement, at 47-48; Sworn Statement of Michael P. Baldasaro, Andersen, to Philip C. Cook, A&B, May 15, 2003 (the “Baldasaro Sworn Statement”), at 31; Tammy I Accounting Memo.

Andersen appears to have assisted in marketing the structure to Enron.³⁷⁰ This work product also served as a critical resource in Andersen's approval of the accounting treatment of the Tax Transactions, which was discussed among Andersen's Houston, New York and Chicago offices and which relied in part on the issuance of "should" level tax opinions by various law firms.³⁷¹ In one instance (the Teresa Transaction), Andersen also was engaged by King & Spalding to review and comment on the tax opinion,³⁷² which supported the accounting treatment but which meant that Andersen worked for three separate parties on the same transaction. Overall, the evidence indicates that Andersen:

³⁷⁰ See, e.g., Facsimile from Thomas Finley, Bankers Trust, to Robert Hermann, Enron, May 28, 1996 (notifying Robert Hermann that Mike Baldasaro in Andersen's New York office would be calling to discuss the structure of the transaction that later became the Teresa Transaction and attaching PowerPoint presentation materials) [DBC 013815-DBC 013827].

³⁷¹ See, e.g., Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 18 n.67; Email from Roger D. Willard, Andersen, to P. Michael Baldasaro, Andersen, regarding Enron and Bankers Trust Proposed Transaction, Jan. 23, 1997 (forwarding email from Roger D. Willard, Andersen, to Richard R. Petersen, Andersen, Jan. 20, 1997) (Teresa Transaction) [AA 000006916-AA 000006917]; Email from Richard R. Petersen, Andersen, to Roger D. Willard, Andersen, regarding Enron, Oct. 25, 1997 (Steele Transaction) [PSI00021682]; Steele Accounting Memo; Cochise Accounting Memo; Memorandum from Herman Manis, and Christopher J. Herbold, Andersen, to the Files, regarding Project Cochise, Aug. 9, 1999 [AB0785 02552-AB0785 02565]; Tammy I Accounting Memo; Email from Michael D. Jones, Andersen, to P. Michael Baldasaro, *et al.*, Andersen, regarding Project Tammy/Aries, July 31, 2000 [AB0785 02642-AB0785 02643]; Email from Roger D. Willard, Andersen, to David B. Duncan, and D. Stephen Goddard, Jr., Andersen, regarding Tax Planning Strategy, Feb. 11, 1998 [AA-EX00007184]; Tomas Accounting Memo; Email from Richard R. Petersen, Andersen, to Patricia S. Grutzmacher, Andersen, regarding Condor Tax Structure, Oct. 2, 1999 [AA-EX00236394-AA-EX00236395]; Memorandum from David B. Duncan and Herman Manis, Andersen, to the Files, Houston, regarding Project Apache, Feb. 1999 [AA0035343-AA0035344]; Sworn Statement of Roger D. Willard, Andersen, to Philip C. Cook, A&B, May 12, 2003 (the "Willard Sworn Statement"), at 42; Sworn Statement of Robert P. Palmquist, Andersen, to Philip C. Cook, A&B, May 13, 2003 (the "Palmquist Sworn Statement"), at 86, 89-91, 112-13, 123; Baldasaro Sworn Statement, at 21; Weissman Sworn Statement, at 17-18; Finley Sworn Statement, at 118-21; McGuire Sworn Statement, at 138-41.

³⁷² Engagement Letter from William S. McKee, King & Spalding, to Robert P. Palmquist, Andersen, Feb. 20, 1997 (the "K&S Engagement Letter") [K&S 2 05713-K&S 2 05714]; Palmquist Sworn Statement, at 89-91.

- relied on a strained analogy to APB 16³⁷³ and used a questionable amortization methodology in the REMIC Carryover Basis Transactions to approve Enron's reporting of the potential benefit of speculative future tax deductions in an erroneous and misleading manner as pre-tax income;
- relied on interpretations of FAS 109 in Enron's Tax Basis Step-Up Transactions that permitted Enron to create accounting benefits in violation of the literal accounting requirements and that had a misleading impact on Enron's reported GAAP income;
- permitted Enron to record the accounting benefits of the Tax Transactions even though the transactions had no bona fide business purpose other than the creation of GAAP income;³⁷⁴ and
- permitted Enron to record the accounting benefits of the Tax Transactions without specific disclosure in Enron's financial statements.³⁷⁵

Pre-Tax Income Generated by REMIC Carryover Basis Transactions

Both the Steele and Cochise Transactions involved the use of an SPE to acquire REMIC Residual Interests³⁷⁶ and Facilitating Assets.³⁷⁷ These transactions were

³⁷³ Business Combinations, Accounting Principles Bd. Opinion No. 16 (Financial Accounting Principles Bd. 1970) ("APB 16"), *superseded by* Business Combinations, Statement of Financial Accounting Standards No. 141 (Financial Accounting Standards Bd. 2001).

³⁷⁴ As discussed in the Prior Reports, the Tax Transactions had little to no connection with Enron's ongoing business activities. *See* Second Interim Report, Appendix J (Tax Transactions); *see also* Third Interim Report, Appendix C (Role of Enron's Officers), at 68-77; Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 72-73. Instead, they largely were artificial transactions designed to create GAAP income. *Id.* Andersen was aware of this purpose and knew that it was not a valid business purpose for financial accounting. *See, e.g.,* K&S Engagement Letter; Teresa Accounting Memo; Email from Richard R. Petersen, Andersen, to Roger D. Willard, Andersen, regarding Enron, Oct. 25, 1997 [PSI00021682]; Email from Richard R. Petersen, Andersen, to Roger D. Willard, Andersen, regarding Enron-Remic Transaction, Oct. 30, 1997 [AB0785 02530]; Willard Sworn Statement, at 101.

³⁷⁵ Enron's management intentionally avoided having to highlight the Tax Transactions in the financial statements, and the transactions were disclosed only to the extent that they were included in the increase in the "basis and stock sale differences." *See* Third Interim Report, Appendix C (Role of Enron's Officers), at 70. Andersen audited Enron's financial statements and reviewed its tax footnotes and the tax reserves. Palmquist Sworn Statement, at 56, 196; Willard Sworn Statement, at 163-64.

³⁷⁶ A "REMIC" refers to a real estate mortgage investment conduit, which is a collateralized pool of mortgages taxed on a flow-through basis. *See* Second Interim Report, Appendix J (Tax Transactions), at 3. Each security interest in a REMIC is classified as either a "REMIC Regular Interest" or a "REMIC Residual Interest." *Id.* In the early years, the REMIC usually generates "Phantom Income," i.e., mortgage interest income that exceeds the deductions for interest paid to the holders of the REMIC Regular Interests.

designed to avoid federal income tax on the income from the REMIC Residual Interests, but to claim hundreds of millions of dollars of future loss deductions from the same REMIC Residual Interests.³⁷⁸ Using FAS 109, Enron recorded the potential benefit of these speculative future tax deductions but did so in a manner that created \$144 million of pre-tax income from October 1997 through September 2001.³⁷⁹

The accounting benefits from these transactions resulted from their characterization as “bargain purchases” based on an analogy of the acquisitions to a “business combination” under APB 16.³⁸⁰ With Andersen’s approval, Enron recorded the assets at their market purchase price and then recorded a deferred tax asset (reflecting the amount by which the assets’ tax basis exceeded their fair value) and an offsetting

Id. In later years, the REMIC generates “Phantom Losses,” i.e., the deductions for interest paid to the holders of the REMIC Regular Interests that exceed the interest income. *Id.*

³⁷⁷ In the Steele Transaction and the Cochise Transaction, the Facilitating Assets were corporate bonds and the Cochise Planes, respectively. See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix C (Role of Enron’s Officers), at 54, 72-73; Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 28-30, 38. These assets were unrelated to the REMIC Residual Interests, had low economic yields, and were acquired for the sole purpose of enabling Enron to portray the future tax benefits of the transactions as pre-tax income for financial accounting purposes. See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix C (Role of Enron’s Officers), at 54, 72-73; Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 28-30, 38.

³⁷⁸ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix C (Role of Enron’s Officers), at 70-75; Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 27-42.

³⁷⁹ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix C (Role of Enron’s Officers), at 70-75; Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 27-42.

³⁸⁰ For GAAP purposes, a “Business Combination” occurs when a corporation and one or more incorporated or unincorporated businesses are brought together into one accounting entity. APB 16, ¶ 1; see also Steele SAS 50 Letter, at 4; First Cochise SAS 50 Letter, at 8; Second Cochise SAS 50 Letter, at 8; Third Cochise SAS 50 Letter, at 8; Steele Accounting Memo, at 4; Cochise Accounting Memo, at 4.

“deferred credit”³⁸¹ (reflecting the bargain purchase element of each transaction).³⁸² In the Cochise Transaction, Enron took the additional step of offsetting a portion of the deferred credit against the book basis of the Cochise Planes, thus reducing the aircraft book basis to zero and the amount of the deferred credit by an equal amount.³⁸³ Enron then amortized the remaining deferred credit in each transaction into pre-tax income over a five year period.³⁸⁴ As noted above, the Examiner concluded that Enron’s accounting treatment of the Steele and Cochise Transactions violated GAAP, with the most aggressive and misleading aspects of the transactions being the creation of pre-tax income (as opposed to after-tax income through a reduction in tax expense in the tax

³⁸¹ If a transaction is treated as a business combination under ABP 16 and the sum of the net assets exceeds the purchase price, “negative” goodwill (the presumed discount or bargain on net assets acquired) is created. See Second Interim Report, Appendix J (Tax Transactions), *Accounting for Deferred Taxes Under FAS 109*. Under GAAP, the negative goodwill is treated as a proportionate reduction in non-current assets other than long-term investments in marketable securities. *Id.* If the book value of these assets is less than the negative goodwill, the remainder is required to be recorded as a “deferred credit” in the liability section of the balance sheet. *Id.* Enron treated the deferred credit as having no tax basis. See Letter from Thomas Finley, Managing Director, Bankers Trust, to R. Davis Maxey, Enron, Nov. 7, 1997, attaching Letter from Bill Boyle, Vice President, Bankers Trust, to William McKee, King & Spalding, June 2, 1997 [AB000187757-AB000187776]; Enron Consolidated Financial Statement Reporting, Limited Financial Accounting Summary of Certain Projects, as requested by the Examiner, Oct. 2002 (the “Enron Consolidated Accounting Summary”), at 8 [AB000427661-AB000427684]. As a result, Enron recorded an additional deferred tax asset for the book and tax basis disparity of the deferred credit, which then increased the amount of the deferred credit recorded on a “gross-up” basis on Enron’s books. Enron Consolidated Accounting Summary, at 7-8. Enron apparently used this gross-up procedure until the release of EITF 98-11, which specifically states: “The deferred credit is not a temporary difference under [FAS] 109,” which means that a deferred tax asset may not be recognized for the difference in book basis and tax basis of the deferred credit, but only for the difference for the initial asset purchased. Accounting for Acquired Temporary Differences in Certain Purchase Transactions That Are Not Accounted for as Business Combinations, 2 EITF Abstracts (FASB) 98-11, ¶ 3b (Jan. 24, 2002) (“EITF 98-11”); see also Enron Consolidated Accounting Summary, at 5-20.

³⁸² See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions).

³⁸³ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annex 2 to Appendix J (Tax Transactions).

³⁸⁴ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions).

provision section of Enron's income statement) and the artificially shortened amortization period.³⁸⁵

In approving the accounting treatment, Andersen acknowledged that the REMIC Residual Interests and Facilitating Assets did not provide an operating business and that these transactions did not technically constitute business combinations.³⁸⁶ Andersen, however, determined that APB 16 provided the best guidance, presumably because the assets were purchased from the same consolidated group, i.e., the BT/Deutsche consolidated group.³⁸⁷ This "same seller" theory finds no credible support in the accounting literature. Under ABP 16, a business combination occurs when "a corporation and one or more incorporated or unincorporated businesses are brought together into one accounting entity."³⁸⁸ Other accounting literature defines a "business" as a self-sustaining integrated set of activities and assets conducted and managed for the purpose of providing a return to investors.³⁸⁹ As previously determined by the Examiner, the purchase of the unrelated assets in the Steele and Cochise Transactions did not

³⁸⁵ See Second Interim Report, Appendix J (Tax Transactions), *Enron's REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 27-42, 77-79.

³⁸⁶ Steele Accounting Memo, at 4; Facsimile from Roger Willard, Andersen, to Bob Palmquist, Andersen, Sept. 30, 1997, attaching Project Steele Summary of Considerations, Sept. 30, 1997 ("Steele Summary of Considerations"), at AA-EX00016357 [AA-EX00016356-AA-EX00016358]; Cochise Accounting Memo, at 4.

³⁸⁷ See Steele Accounting Memo, at 4; Cochise Accounting Memo, at 4; Second Cochise SAS 50 Letter, at 8; Third Cochise SAS 50 Letter, at 8.

³⁸⁸ APB 16, ¶ 1.

³⁸⁹ EITF 98-3, ¶ 6.

represent a “self-sustaining integrated set of activities and assets” and should not have been afforded “negative goodwill” accounting treatment under GAAP.³⁹⁰

Even if APB 16 could be appropriately applied to the Steele and Cochise Transactions, Andersen erred in its method of amortizing the deferred credit. APB 16 requires the deferred credit to be “amortized systematically to income over the period estimated to be benefited . . . ,” with such method and period of amortization being disclosed.³⁹¹ In other words, the deferred credit should be amortized into net income over the period benefited by the deferred tax asset. Over the same period, the deferred tax asset should be reduced with an offsetting charge to taxes payable, with the net effect on reported net income being zero over the life of the asset.

Andersen, however, interpreted APB 16 to require nothing more than a “rational and systematic method” and, without citation to any accounting literature, took the position that the deferred credit could be amortized into “other income” (i.e., pre-tax income).³⁹² According to Andersen, this position is “reasonable as investment in these assets represent(s) traditional operating transactions,” even though a senior Andersen tax partner noted that he had never seen a situation where the deferred credit was amortized into pre-tax income instead of the tax provision.³⁹³

³⁹⁰ See Second Interim Report, Appendix J (Tax Transactions), *Accounting for Deferred Taxes Under FAS 109*, at 21-23; see also Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions).

³⁹¹ ABP 16, ¶ 91.

³⁹² Steele SAS 50 Letter, at 7; First Cochise SAS 50 Letter, at 11-12; Second Cochise SAS 50 Letter, at 13; Third Cochise SAS 50 Letter, at 13; Steele Accounting Memo, at 5; Steele Summary of Considerations, at AA-EX00016358; Cochise Accounting Memo, at 6.

³⁹³ Steele Summary of Considerations, at AA-EX00016358; Baldasaro Sworn Statement, at 101-102, 105-106 (Baldasaro was contacted during Andersen’s engagement by BT/Deutsche with respect to the preparation of a SAS 50 letter relating to the Steele Transaction).

Consistent with Andersen's lack of cited authority, the Examiner has not located any persuasive authority for Andersen's position.³⁹⁴ In fact, accounting standards have long followed the practice of reflecting the effects of income taxes on net income within the income tax expense component of the income statement.³⁹⁵ Accounting interpretations, including EITF 98-11, adopted and effective after Enron engaged in the Cochise and Steele transactions, make it clear that those effects are reflected in net (after-

³⁹⁴ During the course of the Examiner's investigation, Andersen indicated that its position was required by FASB Statement No. 109, Accounting for Income Taxes, and supported by analogy to: (i) Accounting for "Investment Credit," Accounting Principles Bd. Opinion No. 2 (Financial Accounting Standards Bd. 1962) ("APB 2"); (ii) Accounting for the Investment Credit, Accounting Principles Bd. Opinion No. 4 (Financial Accounting Standards Bd. 1964) ("APB 4") (amending APB 2); (iii) Accounting for the Investment Credit: Accounting Interpretations of APB Opinion No. 4, AICPA Accounting Interpretation No. AIN-APB 4, (Financial Accounting Standards Bd. Feb. 1972-Mar. 1972) ("AIN-APB 4"); and (iv) Business Combination, Accounting Principles Bd. Opinion No. 16 (Financial Accounting Standards Bd. 1970) ("APB 16"). Telephone Interview with Richard Petersen, Andersen, by Philip C. Cook, A&B, Oct. 14, 2003 ("Petersen 10/14/03 Interview"). APB 2, APB 4, and AIN-APB 4, which predated implementation of FAS 109, provide that the investment tax credit ("ITC") may be accounted for as a reduction to the cost of the asset. According to Andersen, this results in the depreciation of a lower basis that could affect pre-tax income, a result which supports the amortization of the deferred credit in both the Steele and Cochise Transactions into pre-tax income. *Id.* However, the only issue addressed by APB 2, APB 4, and AIN-APB 4 is the timing of the net income effect for financial accounting purposes. Under GAAP, the ITC can be accounted for under the flow-through method (i.e., a direct reduction to income tax expense in the year the asset is purchased) or under the deferral method (i.e., a reduction to the cost of the asset (either directly or through a contra account) with the ITC allocated over the life of the asset as a direct reduction of periodic income tax expense). Under either approach, the ITC is accounted for as income tax expense. AIN-APB 4, however, does provide one exception for financial institutions in that they may include the ITC as part of the proceeds from leased property and include the ITC in determining the yield from the loan that is reflected in income over the term of the lease. Because Enron was not a financial institution, AIN-APB 4 (like APB 2 and APB 4) offers no support for Andersen's position in the Steele and Cochise Transactions. The Safe Harbor Leasing Exposure Draft, which was never finalized, is inapposite to the Steele and Cochise Transaction because it addresses transactions structured in the form of leases but are in substance solely the purchase or sale of tax benefits such as ITC.

³⁹⁵ See, e.g., FAS 109; Accounting for Income Taxes, Statement of Financial Accounting Standards No. 96 (Financial Accounting Standards Bd. 1987) ("FAS 96") (superseded by FAS 109); Accounting for Income Taxes, Accounting Principles Bd. Opinion No. 11 (Financial Accounting Standards Bd. 1967) (superseded by FAS 96 and FAS 109); APB 2 (accounting for investment tax credits requires a reduction of income tax expense); APB 4 (same); AIN-APB 4 (same). During the course of the Examiner's investigation, Andersen indicated that paragraph 16 of FAS 109 precluded the amortization of the deferred credit through the income tax provision because it provided, in part: "Total income tax expense or benefit for the year is the sum of deferred tax expense or benefit [i.e., change in deferred tax liabilities or assets] and income taxes currently payable or refundable." Petersen 10/14/03 Interview. The Examiner agrees that paragraph 16 of FAS 109 requires that these two items are reflected in the income tax provision; the Examiner does not agree with Andersen's interpretation that nothing else can be reflected in the income tax provision. For example, FAS 96 precluded interest and penalties from being reported as income tax expense, but this preclusion was removed from FAS 109. Compare FAS 96, ¶ 27 with FAS 109, ¶ 45.

tax) income but not pre-tax income.³⁹⁶ Andersen submitted the only comment letter during the deliberations of EITF 98-11 that discussed the possibility of amortizing the deferred credit into any part of the income statement other than the income tax provision.³⁹⁷ In this comment letter, Andersen noted that amortization of the deferred credit into the income tax provision would technically violate FAS 109's definition of deferred income tax expense (i.e., "the change during the year in an enterprise's deferred tax liabilities and assets").³⁹⁸ In a separate comment letter, the SEC pointed out that this amortization approach would at least cause an inconsistency with FAS 109 because the amortization does not affect the deferred tax asset or liability accounts.³⁹⁹ Notwithstanding this result, the SEC did not support a substantive change to longstanding practice of reporting tax-related gains on the income statement as part of the income tax provision, and the amortization through the tax provision was explicitly made mandatory in EITF 98-11.⁴⁰⁰

³⁹⁶ EITF 98-11 (deferred credit resulting from so-called bargain purchase amortized into income as part of the provision for income taxes); *see also* AIN-APB 4 (investment credits reflected as reduction of tax expense); Accounting for Tax Benefits Resulting from Investments in Affordable Housing Projects, 1 EITF Abstracts (FASB) 94-1 (May 18-19, 1995) (housing credits reflected as a component of income taxes).

³⁹⁷ *See* Emerging Issues Task Force, Minutes/Issue Summaries, EITF 98-11 (Financial Accounting Standards Bd. 1998) (the "EITF 98-11 Minutes/Issue Summaries") (materials available from AICPA); Letter from John E. Stewart, Andersen, to Timothy S. Lucas, Chairman, Emerging Issues Task Force, FASB, regarding EITF Issue 98-11, Accounting for Acquired Temporary Differences in Certain Purchase Transactions That Are Not Accounted for as Business Combinations, Mar. 15, 1999 ("Andersen Comment Letter") (attached as Comment Letter No. 3 to EITF 98-11 Minutes/Issue Summaries).

³⁹⁸ Andersen Comment Letter, at 3; *see also* FAS 109, ¶ 16.

³⁹⁹ *See* Letter from Jane B. Adams, Deputy Chief Accountant, SEC, to Timothy S. Lucas, Chairman, Emerging Issues Task Force, FASB, regarding EITF 98-11, Accounting for Acquired Temporary Differences in Certain Purchase Transactions That Are Not Accounted for as Business Combinations, Issue Summary No. 1, Supplement No. 3, May 18, 1999 (attached as Comment Letter No. 6 to EITF 98-11 Minutes/Issue Summaries).

⁴⁰⁰ *Id.*

Despite the fact that the treatment of the Steele and Cochise Transactions as bargain purchases under APB 16 was determined only by analogy to the business combination rules that admittedly did not apply and despite the absence of persuasive accounting authority or literature contemplating the amortization of the deferred credit into pre-tax income, Andersen approved Enron's amortization of the deferred credit into pre-tax income as opposed to the tax provision.⁴⁰¹ Andersen's sign-off on the pre-tax income feature of the Steele and Cochise Transactions was aggressive, and the Examiner found no reasonable basis for this characterization.⁴⁰²

The distortion of Enron's income resulting from the Steele and Cochise Transactions was exacerbated by Andersen's acceptance of very short amortization periods.⁴⁰³ In the Steele Transaction, most of the deferred credit was to be amortized over the five-year life of the corporate bonds, even though the deferred credit was attributable to the REMIC Residual Interests (which had an estimated 27-year average life).⁴⁰⁴ Similarly, in the Cochise Transaction, most of the deferred credit was to be

⁴⁰¹ See Steele Accounting Memo, at 5; Steele Summary of Considerations, at AA-EX00016358; Cochise Accounting Memo, at 6.

⁴⁰² See Second Interim Report, Appendix J (Tax Transactions), *Enron's REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 77-79.

⁴⁰³ See Steele Accounting Memo, at 5; Cochise Accounting Memo, at 6.

⁴⁰⁴ See Second Interim Report, Appendix J (Tax Transactions), *Enron's REMIC Carryover Basis Transactions*; Second Interim Report, Annex 1 to Appendix J (Tax Transactions). During the course of the Examiner's investigation, Andersen indicated that the five-year amortization period was appropriate under GAAP because Enron represented to Andersen that the inclusion of the corporate bonds was a necessary element to achieving the tax benefits of the Steele Transaction. See also Steele Accounting Memo, at 5 ("Inclusion of these bonds in ECTIP is necessary to achieve the desired level of assurance that the objectives of the transaction will be realized."). The Examiner is not persuaded by this argument because Andersen also knew that the "effect of the transaction [was] to create pre-tax accounting income of [. . .] through the amortization of the deferred credit." See Steele Accounting Memo, at 1. Knowing Enron's objective or effect of the transaction was to create pre-tax income, Andersen should have questioned Enron's representation to Andersen concerning the necessity of the corporate bonds, rather than accepting the assertion at face value. The Examiner is aware of no evidence indicating that Andersen asked its tax

amortized over the five-year period during which the SPE expected to qualify as a REIT, the very period over which the SPE could not get any tax benefit from the REMIC Residual Interests.⁴⁰⁵ The Examiner concluded that the five-year amortization periods were not rational and did not comply with GAAP.⁴⁰⁶

Strained Interpretations of FAS 109 in Tax Basis Step-Up Transactions

As described in the Second Interim Report, the Teresa, Condor and Tammy I Transactions involved contributions of property by an Enron affiliate to an SPE that was taxed as a partnership.⁴⁰⁷ The SPE engaged in transactions to increase the contributing affiliate's tax basis in the partnership interest, without a corresponding increase in the book basis.⁴⁰⁸ Under applicable tax rules, the affiliate was not permitted to take a current tax deduction for the tax basis increase while it held the partnership interest.⁴⁰⁹ Enron expected to realize a tax benefit only in the future when a significant asset was distributed from the SPE to the Enron affiliate with a "stepped-up" basis that could be depreciated.⁴¹⁰

experts about whether the corporate bonds were necessary to the tax result, nor of evidence that the bonds were necessary in fact.

⁴⁰⁵ See Second Interim Report, Appendix J (Tax Transactions), *Enron's REMIC Carryover Basis Transactions*; Second Interim Report, Annex 2 to Appendix J (Tax Transactions).

⁴⁰⁶ See Second Interim Report, Appendix J (Tax Transactions), *Enron's REMIC Carryover Basis Transactions*; Second Interim Report, Annexes 1 and 2 to Appendix J (Tax Transactions); see also Third Interim Report, Appendix G (Role of BT/Deutsche and its Affiliates), at 78-79.

⁴⁰⁷ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annexes 4, 5 and 6 to Appendix J (Tax Transactions).

⁴⁰⁸ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annexes 4, 5 and 6 to Appendix J (Tax Transactions).

⁴⁰⁹ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annexes 4, 5 and 6 to Appendix J (Tax Transactions).

⁴¹⁰ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annexes 4, 5 and 6 to Appendix J (Tax Transactions). In the Teresa, Condor and Tammy I Transactions, the stepped-up basis asset was the Enron North Building (i.e., Enron's corporate headquarters), the Bammel Assets (i.e., natural gas storage facility and pipeline assets) and the Enron South Building (i.e., new headquarters that were under construction), respectively. *Id.*

In these three Tax Transactions, Enron never determined exactly when the distribution would occur but, in each case, it was expected that it would not occur for at least five years because of the disguised sale rules of Section 707 of the Internal Revenue Code.⁴¹¹

Even though it would be years before Enron would take the actions necessary to confer a basis step-up for which tax recovery was arguably permissible, Enron recorded deferred tax assets to reflect the excess book basis in the partnership interests, which reduced Enron's current tax provision and increased net income.⁴¹² Andersen's approval of this accounting treatment faced serious impediments under the literal rules of FAS 109. This is perhaps best illustrated by an analysis of Andersen's actions in connection with the Tammy I Transaction.

In simplified terms, the Tammy I Transaction involved the contribution by Enron affiliates of appreciated stock of other Enron affiliates and other assets to an SPE, Enron

⁴¹¹ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annexes 4, 5 and 6 to Appendix J (Tax Transactions). In addition, other contingencies affected the date of distribution. In the Teresa Transaction, for example, distribution would not occur if it would cause a net present value tax benefit to be achieved by the Enron group, taking into account Enron's weighted average cost of capital. See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annex 4 to Appendix J (Tax Transactions). Because the weighted average cost of capital was an unknown future variable, no one at Enron could accurately determine when the Enron North Building would be distributed after the end of the minimum five year period in which it was expected to be held. *Id.* In the Condor Transaction, distribution of the Bammell Assets was not expected to occur for 15 years. See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annex 5 to Appendix J (Tax Transactions). In the Tammy I Transaction, the SPE did not even own the Enron South Building that it expected to acquire and then distribute to achieve a basis step-up. See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions). Vinson & Elkins assumed in its tax opinion for the Tammy I Transaction that the property would not be distributed until the SPE had held the property for at least five years. See Tax Opinion from Vinson & Elkins to Enron Corp., regarding Enron Finance Partners, LLC, Feb. 9, 2001, at 7-8 [AB000151947-AB000151970].

⁴¹² Teresa Accounting Memo, at 3-5; Memorandum from David B. Duncan, *et al.*, Andersen, to Enron Corp. Houston, regarding Formation of Enron Leasing Partners, L.P. (Partnership) and Treatment of Taxable Dividends, Mar. 14, 1997, at 4-6 [AA-EX00004159-AA-EX00004167]; Memorandum from Dave Duncan, *et al.*, Andersen, to the Files, regarding Whitewing Associates, L.P. - Contribution-Leaseback Transaction, Nov. 18, 1999, at 2-4 [AA 000006469-AA 000006472]; Tammy I Accounting Memo, at 8-9.

Finance Partners LLC (“EFP”), in exchange for partnership interests in EFP.⁴¹³ These Enron affiliates then transferred a substantial portion of their EFP interests to Enron Capital Investment Corp. (“ECIC”).⁴¹⁴ EFP was expected to sell the appreciated stock, with such sales increasing the basis of ECIC’s partnership interest in EFP.⁴¹⁵ Ultimately, EFP planned to acquire the Enron South Building.⁴¹⁶ After at least five years, the Enron South Building would be distributed by EFP to ECIC in redemption of its interest in EFP, at which time ECIC’s \$1+ billion basis in the EFP partnership interest would attach to the Enron South Building under Section 732(b) of the Internal Revenue Code.⁴¹⁷ The distribution of the building and its basis step-up would result in a corresponding basis decrease in the other property held by EFP.⁴¹⁸ Under Enron’s plan, EFP then would purchase stock interests in Enron or its affiliates to absorb this basis decrease without tax detriment to the Enron consolidated group.⁴¹⁹

To achieve the net income benefits from the Tammy I Transaction, Enron had to obtain Andersen’s approval of two results: (i) the relief from recording a deferred tax liability; and (ii) the necessity of recording a deferred tax asset. As the stock interests

⁴¹³ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁴ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁵ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁶ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁷ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁸ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴¹⁹ See Second Interim Report, Appendix J (Tax Transactions), *Enron’s Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

with the “built in gain” were contributed to the Tammy I structure, Enron’s plan was to avoid having to record a deferred tax liability with respect to the expected gain to be recognized when the asset was sold.⁴²⁰ For example, Enron contributed 11.5 million shares of Enron affiliate stock to EFP that had a fair market value and book basis of \$485.9 million and a tax basis of \$40.7 million.⁴²¹ Enron established no deferred tax liability for the expected \$445.2 million of taxable gain that would be incurred upon the subsequent sale of the stock.⁴²² Because the contribution of the stock to EFP would give Enron the same basis disparity in its partnership interest in EFP, which is a consolidated subsidiary for GAAP purposes, Enron faced the issue of whether it had to record a deferred tax liability for its interest in EFP, an action that would have reduced Enron’s net income for 2000 by \$155.8 million.⁴²³ With Andersen’s approval, Enron did not report a deferred tax liability or show any income effect on its 2000 financial statements as a result of the Tammy I Transaction.⁴²⁴ Enron also obtained Andersen’s approval that

⁴²⁰ Memorandum from Dave Maxey and Shelly Williams, Enron, to Mike Jones, Enron, regarding Project Tammy – Deferred Tax Analysis, Sept. 30, 2000 [AB000187972-AB000187973]; Memorandum from Dave Maxey and Shelly Williams, Enron, to Mike Jones, Enron, regarding Project Tammy – Deferred Tax Analysis, Oct. 19, 2000 [AB000427245-AB000427247]; *see also* Email from P. Michael Baldasaro, Andersen, to Richard R. Petersen, Andersen, regarding FASB 109 Issue, June 13, 2000 (“Baldasaro-Petersen FASB 109 Email”), at AA-EX00017382 [AA-EX00017382-AA0EX00017384]; Tammy I Accounting Memo.

⁴²¹ *See* Second Interim Report, Annex 6 to Appendix J (Tax Transactions); Report of Investigation of Enron Corporation and Related Entities Regarding Federal Tax and Compensation Issues, and Policy Recommendations, Vol. I, Prepared by the Staff of the Joint Committee on Taxation, at the Request of Senator Max Baucus and Senator Charles E. Grassley of the Senate Committee on Finance, Feb. 2003 (the “Joint Committee Report”), at 223-24.

⁴²² *See* Second Interim Report, Annex 6 to Appendix J (Tax Transactions). The \$445.2 million gain is the difference between \$485.9 million fair market value and \$40.7 million tax basis.

⁴²³ *See* Second Interim Report, Annex 6 to Appendix J (Tax Transactions), at 26 n.104; Tammy I Accounting Memo, at 5-10; Enron Consolidated Accounting Summary, at 18. The \$155.8 million is calculated by taking the expected gain of \$445.2 million and multiplying it by a 35% effective tax rate.

⁴²⁴ *See* Tammy I Accounting Memo, at 5-10; Email from Richard Petersen, Andersen, to Michael D. Jones, Andersen, Sept. 25, 2000, regarding Enron tax issue (forwarding series of email exchanges between

a deferred tax asset could be recorded by ECIC in Enron's 2001 financial statements as appreciated assets were sold and the basis step-up was allocated to ECIC's partnership interest in EFP rather than years later when the Enron South Building was distributed from EFP to ECIC.⁴²⁵ The authority for both of these accounting issues raised in the Tammy I Transaction is found in FAS 109 and, more particularly, the exceptions to the basic principles that are contained in paragraphs 31 through 34, which govern whether tax and book basis disparities arising from investments in certain subsidiaries or joint ventures are temporary investments (and, therefore, result in deferred tax assets or liabilities).⁴²⁶

With respect to recording a deferred tax liability, paragraph 33 of FAS 109 ("Paragraph 33") provides that no such liability will be recorded in a situation where there is an excess of book over tax basis in an investment in a more-than-50% subsidiary provided that "the reported amount of the investment can be recovered tax-free and the enterprise expects that it will ultimately use that means."⁴²⁷ This is best illustrated by the following example. Assume that an enterprise contributes stock with a high book basis and a low tax basis (and no pre-existing deferred tax asset) to a partnership in exchange for a partnership interest. If the enterprise did not expect to recognize taxable income on account of the disparity because it expected that the asset ultimately would be distributed back to the contributing partner on a tax-free basis, Paragraph 33 does not require the

Andersen partners) ("Andersen's Enron Tax Issue Email"), at 2-4 [AA-EX00017206-AA-EX00017210]; Enron Consolidated Accounting Summary, at 18-19.

⁴²⁵ See Tammy I Accounting Memo, at 5-10; Baldasaro Sworn Statement, at 58, 68-69, 73-79; Enron Consolidated Accounting Summary, at 18-20.

⁴²⁶ See FAS 109, ¶ 9.

⁴²⁷ FAS 109, ¶ 33.

recording of a deferred tax liability with respect to the disparity in the partnership interest. Andersen ultimately relied on this rationale as the basis for relieving Enron from an obligation to record a deferred tax liability in 2000 as the appreciated stock was contributed to EFP in exchange for partnership interests.⁴²⁸ Yet, Andersen was aware that the appreciated stock was expected to be sold by EFP.⁴²⁹ Enron had no plan to distribute this stock back from EFP on a tax-free basis.⁴³⁰ To the contrary, the transaction was designed by Enron to facilitate the sale of the appreciated stock in later periods and recognize taxable gain.⁴³¹

If Andersen had required Enron to record a deferred tax liability in 2000 as ostensibly required by Paragraph 33, the Tammy I Transaction would not have been undertaken because net income would have been reduced by more than \$489 million.⁴³² Andersen was aware of the apparent need to record a deferred tax liability as the appreciated stock was contributed to EFP by the Enron affiliates.⁴³³ Andersen's New

⁴²⁸ Andersen's Enron Tax Issue Email, at 2-4; Tammy I Accounting Memo, at 5-10; Baldasaro Sworn Statement, at 89. During the course of the Examiner's investigation, Andersen expressed the view that Paragraph 33 did not apply to investment partnerships, but that the concepts underlying Paragraph 33 do apply generally to all basis differences. Petersen 10/14/03 Interview. The language of Paragraph 33, however, does not support this conclusion, and Andersen did not take this position at the time of the Tammy I Transaction. See Tammy I Accounting Memo, at 5-10; FAS 109, ¶ 33 (refers only to "more-than-50-percent-owned domestic subsidiary").

⁴²⁹ Andersen's Enron Tax Issue Email, at 2-4; Tammy I Accounting Memo, at 2; Baldasaro Sworn Statement, at 50-51.

⁴³⁰ See Baldasaro-Petersen FASB 109 Email, at AA-EX00017382; Andersen's Enron Tax Issue Email, at 2-4.

⁴³¹ See Baldasaro-Petersen FASB 109 Email, at AA-EX00017382; Andersen's Enron Tax Issue Email, at 2-4.

⁴³² The \$489 million is the difference in the fair market value of all assets contributed to EFP and their tax basis multiplied by a 35% effective tax rate. See Second Interim Report, Annex 6 to Appendix J (Tax Transactions); Joint Committee Report, at 223-24; Enron Finance Partners, LLC Schedule of Contributions, July 11, 2002 [AB000187981].

⁴³³ See Tammy I Accounting Memo, at 1-3.

York office, however, concluded that a deferred tax liability did not have to be established, stating that:

[s]ince [EFP] is controlled by the ENE group, at some future date, EBS and ECI could simply decide to liquidate [EFP], which liquidation, based on the assets owned, and expected to be owned, by [EFP] in the future, would be tax-free and eliminate any basis disparity that might exist in the LLC ownership units.⁴³⁴

Andersen's rationale for concluding that Paragraph 33 did not require the recording of a deferred tax liability disregards FAS 109's requirement that the enterprise must "expect . . . that it will ultimately use" the tax planning strategy to avoid tax with respect to the basis disparity inherent in the stock.⁴³⁵ Andersen's analysis contradicts the planned use of such a strategy to avoid tax on the built-in-gain in the subsidiaries and, instead, assumes in other parts of its analysis that a taxable sale of the appreciated stock will occur soon after it is contributed.⁴³⁶

After Andersen's New York office concluded its analysis of the Tammy I Transaction, Andersen's Houston office raised the following issue:

There has previously been no deferred taxes provided for the outside basis differences in the subsidiaries to be contributed. [T]he question is that, if the intent is now to sell under a taxable transaction then you cant [sic] make the assertion required under paragraph 33 of 109 to not book the DFIT liability for the outside basis difference in a domestic subsidiary.⁴³⁷

In subsequent correspondence, a partner in Andersen's New York office pointed out that, notwithstanding having contributed appreciated stock to the Tammy I structure with a

⁴³⁴ *Id.* at 5-10.

⁴³⁵ See FAS 109, ¶ 33.

⁴³⁶ Tammy I Accounting Memo, at 5-10.

⁴³⁷ Andersen's Enron Tax Issue Email, at 2-4.

plan to sell the stock, Enron remained legally free to retain the stock.⁴³⁸ However, no Andersen partner argued that Enron actually had the requisite intent necessary to comply with Paragraph 33.⁴³⁹ Rather, the PSG finally agreed that:

[a]s long as we are dealing with a short time period between the transfer of the subsidiaries to the partnership and the actual sale of the subsidiaries, I could accept not booking the deferred tax liability related to the outside basis difference until the conditions of a measurement date under [APB] Opinion 30 are met.⁴⁴⁰

In other words, the PSG simply accepted the fact that the deferred tax liability would not be recognized during the period mandated by Paragraph 33, but received assurance that the delay in recording the expense would not be too great. If Andersen had applied the actual FAS 109 requirements, the Tammy I Transaction would not have been feasible.

Paragraph 34 of FAS 109 ("Paragraph 34") is the reverse of Paragraph 33 in that it places limitations on the right of an enterprise to recognize a deferred tax asset related to its investment in a subsidiary.⁴⁴¹ Under Paragraph 34, an enterprise should recognize a deferred tax asset with respect to its investment in a subsidiary "only if it is apparent that the temporary difference will reverse in the foreseeable future."⁴⁴² The apparent rationale for this rule is that GAAP presumes that the enterprise's investment in its subsidiaries is "essentially permanent in duration" and, therefore, the basis disparity cannot be expected to reverse.⁴⁴³ Other accounting literature generally takes the position that a basis

⁴³⁸ *Id.*

⁴³⁹ See Andersen's Enron Tax Issue Email.

⁴⁴⁰ *Id.* at 1-2.

⁴⁴¹ See FAS 109, ¶¶ 33-34.

⁴⁴² *Id.* ¶ 34.

⁴⁴³ See *id.* According to Andersen, Enron could have taken the position that ¶ 34 of FAS 109 does not apply to a subsidiary that is a partnership or other flow-through entity. Petersen 10/14/03 Interview. Andersen further stated that the application of ¶ 34 to the Tammy I transaction was elective by Enron. *Id.*

disparity from a subsidiary investment will reverse in the “foreseeable future” only if a decision to sell the subsidiary has been made with the specificity necessary to trigger a “measurement date” under paragraph 14 of APB 30.⁴⁴⁴ The measurement date is the date on which the management having authority to approve the action commits itself to a “formal plan to dispose” of the asset.⁴⁴⁵ Moreover, “in the usual circumstance, it would be expected that the plan of disposal would be carried out within a period of one year from the measurement date”⁴⁴⁶

In the Tammy I Transaction, Andersen acknowledged that Paragraph 34 does not define the term foreseeable future and turned to APB 30’s definition of measurement date.⁴⁴⁷ Andersen then concluded that the “point in time that management . . . commits to redeem . . . ECI’s ownership interest in the manner set forth above should constitute the ‘measurement date’. . . .”⁴⁴⁸ Yet, Andersen did not discuss the fact that the period prescribed in APB 30 from the measurement date to the disposal date generally is limited

The issue of whether ¶ 34 applies to partnerships such as EFP is discussed in the Second Interim Report. See Second Interim Report, Appendix J (Tax Transactions), at 16 n.70. Regardless of whether Enron could have taken such a position, the record is clear that Enron chose to account for the recognition of deferred tax assets under ¶ 34 in the Tammy I transaction. See Tammy I Accounting Memorandum, at 8. This choice was consistent with Enron’s decision to analyze the need to record deferred tax liabilities under ¶ 33, even though a similar position might be taken with respect to ¶ 33.

⁴⁴⁴ Recognition of Deferred Tax Assets for a Parent Company’s Excess Tax Basis in the Stock of a Subsidiary That Is Accounted for as a Discontinued Operation, 1 EITF Abstracts (FASB) 93-17 (Jan. 20, 1994) (holding that a deferred tax asset can be recorded with respect to a subsidiary only when the likelihood of the subsidiary being sold meets the criteria for the APB 30 measurement date); Reporting the Results of Operations - Reporting the Effects of Disposal of a Segment of a Business, and Extraordinary, Unusual, and Infrequently Occurring Events and Transactions, Accounting Principles Bd. Opinion No. 30 (Financial Accounting Standards Bd. 1973) (“APB 30”).

⁴⁴⁵ *Id.* ¶ 14.

⁴⁴⁶ *Id.* ¶ 15.

⁴⁴⁷ Tammy I Accounting Memo, at 8.

⁴⁴⁸ *Id.* at 8-9.

to periods of less than one year.⁴⁴⁹ Andersen was aware that the property would not be distributed for at least five years and that the actual time of distribution had not been determined.⁴⁵⁰ Thus, Andersen provided accounting guidance that stretched Paragraph 34 beyond its limits and ignored the fact that, under the actual facts of the Tammy I Transaction, Andersen's own requirements would not be satisfied.

As a result, Andersen took dramatically inconsistent positions on similar accounting issues in the course of a single transaction. Andersen declined to require recognition of a deferred tax liability arising from a contribution of subsidiaries to EFP with basis disparities even though Paragraph 33 required that a deferred tax liability be recognized if the subsidiaries were contributed to the partnership for the purpose of sale.⁴⁵¹ In the same analysis, Andersen determined that when the subsidiaries were sold, Enron could recognize a deferred tax asset from the increased basis disparity in the investment in the EFP partnership even though the depreciable asset would not be distributed in redemption of the interest in EFP for an indefinite period of at least five years.⁴⁵² The accounting for the Tammy I Transaction was designed to allow Enron to recognize tax expense from a basis step-up that would not occur for at least five years and

⁴⁴⁹ See *id.*; see also APB 30, ¶ 15.

⁴⁵⁰ Email from Michael D. Jones, Andersen, to P. Michael Baldasaro, *et al.*, Andersen, regarding Project Tammy/Aries, July 31, 2000, at 1 ("It has been my understanding that there was some tax requirement to keep the structure in place for 5 years before liquidating the partnership which would be the event that actually results in the migration of basis from the Parent stock to the tangible asset.") [AB0785 02642-AB0785 02643].

⁴⁵¹ See Tammy I Accounting Memo, at 5-10.

⁴⁵² *Id.* at 5-10.

that would be highly likely to be disputed by the IRS.⁴⁵³ For these and other reasons, the Examiner concluded that the accounting treatment did not comply with GAAP.⁴⁵⁴

G. Andersen's Role in the Nahanni Transaction

The chief purpose of Enron's Minority Interest Transactions was to structure particular obligations so that they appeared as "minority interest" in the mezzanine of Enron's balance sheet, rather than as liabilities. This technique was motivated by Enron's desire to maintain its credit rating, and these transactions were structured to address the particular concerns of Rating Agencies.⁴⁵⁵ As previously reported, Enron raised approximately \$2.75 billion in cash through the Minority Interest Transactions it completed from 1997 through 2000.⁴⁵⁶

While the typical minority interest structure itself was relatively straightforward, Enron officers utilized the structure in ways that resulted in financial reporting that was materially misleading. The Nahanni Transaction stands out in this regard. In Nahanni, Enron officers obtained \$500 million in a financing that closed on December 29, 1999, and was substantially repaid on January 14, 2000. The cash generated by this financing transaction was reported as cash flow from operating activities.⁴⁵⁷ Evidence indicates that Andersen's substantial involvement was critical to Enron achieving its financial reporting objective in the Nahanni Transaction.

⁴⁵³ See Second Interim Report, Appendix J (Tax Transactions), *Enron's Tax Basis Step-Up Transactions*; Second Interim Report, Annex 6 to Appendix J (Tax Transactions).

⁴⁵⁴ *Id.*

⁴⁵⁵ See Memorandum from Jim Ginty, Enron, regarding Ponderosa Assets, LP and Sundance Assets, LP – 1998 Financing Transaction, Jan. 8, 1999, at AB000500320 [AB000500320-AB000500338].

⁴⁵⁶ Second Interim Report, Appendix I (Minority Interest Transactions), at 1.

⁴⁵⁷ See Third Interim Report, Appendix C (Role of Enron's Officers).

Issues of fact exist as to the level of knowledge possessed by Andersen accountants regarding the true nature of the Nahanni Transaction. Evidence suggests that Andersen accountants were aware that the only objective of the transaction was to report cash flow from operating activities, but approved the accounting and disclosure in the face of that awareness. As previously reported, the Nahanni Transaction was “hard-wired” with transaction terms that required the result obtained by Enron – a financing used to acquire and sell Treasury securities that was closed and repaid within a matter of days straddling the end of the 1999 fiscal year, all in order to report that Enron had an additional \$500 million in cash flow from operating activities in 1999.⁴⁵⁸

In order for the Nahanni Transaction to create the desired effect – increased cash flow from operating activities – it was necessary for Enron to take the position that holding Treasury securities was a part of its “merchant activities,” so that it could then claim that the sale of those securities generated operating cash flow. Evidence indicates that both Enron and Citigroup,⁴⁵⁹ the financial institution that had presented Nahanni to Enron, consulted with Andersen accountants regarding accounting issues related to the Nahanni Transaction.⁴⁶⁰ Andersen advised Enron that Treasury securities with maturities greater than 90 days could be included in Merchant Investments, but that “Enron’s Merchant Activities footnote should be changed to include government securities in the

⁴⁵⁸ *Id.* at 1.

⁴⁵⁹ Citigroup witnesses have testified that they obtained advice from Benjamin Neuhausen regarding the question of whether Treasury securities would be considered cash equivalents. *See* Third Interim Report, Appendix D (Role of Citigroup and its Affiliates). Neuhausen has indicated that he does recall consulting with Citigroup regarding minority interest structures, but that he does not recall consulting with Citigroup regarding any Enron transaction, including Nahanni, or any other minority interest transaction involving a similar use of Treasury securities. Neuhausen Interview.

⁴⁶⁰ Cash Sworn Statement, at 77, 85-86; Nahanni Memo; Third Interim Report, Appendix D (Role of Citigroup and its Affiliates).

description of Merchant Investments.”⁴⁶¹ Evidence suggests that Andersen also determined that, with this added language, Enron’s disclosure of Nahanni was sufficient.⁴⁶²

Contemporaneous documents indicate that Andersen accountants knew that these issues were prompted by a transaction that was specifically designed to increase Enron’s funds flow from operating activities through the sale of Treasury securities. The Andersen memorandum outlining the advice described above states: “Objective Increase Funds Flow through the sale of Merchant Investments held by a newly formed consolidated subsidiary.”⁴⁶³ Other documents reflect Andersen’s awareness that the purpose of this structure was to “liquidate[] T-bills over time resulting in an increase in Operating Cash Flow for Enron.”⁴⁶⁴

Evidence further suggests that Andersen was aware that the Nahanni Transaction occurred very quickly over a period of days straddling year-end. Andersen accountants were aware that, in the structure, the Treasury securities were sold before year-end 1999.⁴⁶⁵ The same Andersen memorandum, dated December 7, 1999, which documents Andersen’s advice regarding the use of Treasury securities as Merchant Investments, reveals that the debt incurred in the transaction had already been paid:

⁴⁶¹ Nahanni Memo, at AA 000019694. The Examiner is aware of no evidence that suggests Enron ever sought to hold Treasury securities as “Merchant Investments” in any instance other than in Nahanni. Andersen accountants could not recall considering whether Enron had previously purchased, held or sold Treasury securities. *See* Grutzmacher Sworn Statement, at 162; *see also* Cash Sworn Statement, at 93-94.

⁴⁶² Nahanni Memo, at AA 000019694; Cash Sworn Statement, at 95-96.

⁴⁶³ Nahanni Memo, at AA 000019694.

⁴⁶⁴ Email from Derek Claybrook, Andersen, to Patricia Grutzmacher, Andersen, regarding Non-Cash Activity, Dec. 6, 1999, at PSI00006799 [PSI00006799-PSI00006802].

⁴⁶⁵ *See* Nahanni Memo; Cash Sworn Statement, at 85.

Subsequent to year end, the LP made a distribution in accordance with the LP Agreement to the SPE in the amount of \$485 million. This distribution was used to payoff the debt holder of the SPE and reduced the SPE's investment in the LP to \$15 million.⁴⁶⁶

Andersen accountants have indicated that they were unaware that the transaction documents were "hard-wired" to create the result obtained by Enron,⁴⁶⁷ and were unaware that Enron intended to sell the Treasury securities within 30 days.⁴⁶⁸ Based on all of the evidence, however, a fact-finder could conclude that, before the publication of Enron's 1999 audited financial statements, Andersen accountants understood the result Nahanni was designed to achieve – a \$500 million increase in cash flow from operating activities before the end of 1999, and a repayment of debt within days thereafter, all with no material economic effect on Enron. A fact-finder could further conclude that Andersen accountants assisted Enron's officers in crafting the disclosure of Nahanni so that the economic reality of the transaction would not be discernable from the company's financial statements.

⁴⁶⁶ Nahanni Memo, at AA 000019695. The statement quoted above, and other text of this memo, describe events that did not occur until well after the December 7, 1999 date on the memo. When asked about this, Cash speculated that the document was written in order to "get the transaction documented after a point in time that they performed these procedures," i.e., after December 7, 1999. Cash Sworn Statement, at 84. The Examiner has noted other examples of this apparent practice of back-dating memoranda and other documents within Andersen's work papers and files. *See, e.g.,* Hawaii Memo. Evidence of back-dated documentation could cause a fact-finder to question the credibility of Andersen's records and witnesses.

⁴⁶⁷ Neuhausen Interview. None of the Andersen accountants interviewed or examined recalled reviewing any Nahanni Transaction documents. Cash Sworn Statement, at 81; Neuhausen Interview; Grutzmacher Sworn Statement, at 158. The Engagement Team accountants indicated that it was not unusual for them to review transaction documents as a part of their audit of a transaction. Cash Sworn Statement, at 81; Grutzmacher Sworn Statement, at 158-59.

⁴⁶⁸ Grutzmacher Sworn Statement, at 164. Ms. Grutzmacher further testified that Enron's intent to sell within 30 days would have been a "relevant factor to consider" regarding the question of whether Treasury securities could constitute Merchant Investments. *Id.* at 165.

H. Conclusions on Andersen's Role in Enron's SPE Transactions

Based on the foregoing, a fact-finder could conclude that Andersen was negligent in rendering its professional services with respect to Enron's SPE Transactions. In the Third Interim Report, the Examiner determined that a fact-finder could conclude that Enron officers breached their fiduciary duties in connection with Enron's SPE Transactions.⁴⁶⁹ Based on all of the foregoing, a fact-finder also could conclude that, in connection with the SPE Transactions, Andersen aided and abetted breaches of duty by Enron's officers because:

- (i) Andersen had actual knowledge that Enron officers were breaching their fiduciary duties in completing the SPE Transactions because Andersen knew that the financial information the officers were disseminating with respect to the SPE Transactions was materially misleading;
- (ii) Andersen gave substantial assistance to those officers by assisting Enron in designing the transaction templates or "models," structuring the various particular transactions and approving Enron's accounting and disclosure of the SPE Transactions in a manner that made Enron's financial statements materially misleading; and
- (iii) Injury to the Debtors was a direct or reasonably foreseeable result of this conduct.

⁴⁶⁹ Third Interim Report, Appendix C (Role of Enron's Officers), at 62-63.

I. Andersen's Interaction with Enron's Audit Committee

From 1997 through November 18, 2001, the Audit Committee of Enron's Board⁴⁷⁰ met thirty times, including two meetings that were joint meetings of the Audit and Finance Committees. Typically, at least three Andersen partners attended the Audit Committee meetings.⁴⁷¹ Most often, these partners were Duncan, Bauer and Goddard. The meetings generally lasted about one hour.⁴⁷²

At the Audit Committee meeting on February 10, 1997:

[Goddard] reported that Arthur Andersen's policy on seven-year rotation required the end of his engagement on the Company's account at the end of 1996. He stated that the engagement partner position would now be held by Mr. Duncan and that Mr. Duncan would be signing the opinion letter and other documents furnished by Arthur Andersen.⁴⁷³

Goddard continued working on the Enron account in an advisory capacity and attended, along with Duncan and/or Bauer, virtually all of the Enron Audit Committee meetings through November 2001.⁴⁷⁴

⁴⁷⁰ The name of the Audit Committee was changed to the Audit and Compliance Committee after approval at the Audit Committee's meeting of February 9, 1998. This name change reflected the Committee's role in overseeing Enron's compliance with applicable laws. Minutes of Enron Audit Committee Meeting, Feb. 9, 1998 (the "2/9/98 Audit Committee Minutes"), at 3 [AB000191552-AB000191554].

⁴⁷¹ The accountants did not attend the joint meetings of the Audit and Finance Committees.

⁴⁷² Evidence suggests that the time allotted for the Audit Committee meetings had an effect on the level of detailed information provided by Andersen to the Committee. See Email from David Duncan, Andersen, to Neil Wood, Andersen, Dec. 19, 2000, at 2 (discussing the provision of information to the Audit Committee regarding internal control issues) ("As this all must occur in about a 30 – 45 minute presentation, you might understand that we necessarily have to stay at a certain level.") [AB1128 00602-AB1128 00605].

⁴⁷³ Minutes of Enron Audit Committee Meeting, Feb. 10, 1997, at 3 [AB000186257-AB000186260].

⁴⁷⁴ In-Person Interview of Stephen Goddard, Andersen, by John L. Latham, A&B, Nov. 6, 2002 (the "Goddard 11/6/02 Interview") (Goddard did not attend the Audit Committee meeting on February 12, 2001, during which Duncan gave Andersen's SAS 61 presentation on the 2000 financial statements); see also Minutes of Enron Audit Committee Meetings (minutes identified below set forth meetings that Andersen representatives were listed as in attendance):

Statement of Auditing Standards No. 61 (“SAS 61”) “requires the auditor to ensure that the audit committee receives additional information regarding the scope and results of the audit that may assist the audit committee in overseeing the financial reporting and disclosure process for which management is responsible.”⁴⁷⁵ While this

Meeting Date	Bates No.
February 10, 1997	AB000186257-AB000186260
May 6, 1997	AB000186458-AB000186460
October 13, 1997	AB000186558-AB000186560
February 9, 1998	AB000191552-AB000191554
May 4, 1998	AB000191649-AB000191651
October 12, 1998	AB000191694-AB000191697
December 7, 1998	AB000191699-AB000191700
February 7, 1999	AB000191702-AB000191704
May 3, 1999	AB000197684-AB000197685
August 9, 1999	AB000197680-AB000197682
October 11, 1999	AB000197531-AB000197534
December 13, 1999	AB000197738-AB000197740
February 7, 2000	AB000201248-AB000201251
May 1, 2000	AB000201253-AB000201256
August 7, 2000	AB000201297-AB000201300
October 6, 2000	AB000201349-AB000201351
December 11, 2000	AB000201410-AB000201413
February 12, 2001	AB000204423-AB000204428
April 30, 2001	AB000204284-AB000204288
August 13, 2001	AB000203966-AB000203968
October 8, 2001	AB000468935-AB000468940
November 2, 2001	AB000468942-AB000468944
November 5, 2001	AB000468946-AB000468948
November 12, 2001	AB000468950-AB000468952
November 18, 2001	AB000497457-AB000497460

⁴⁷⁵ SAS 61, at § 2 (AU § 380.02).

communication may be oral or written, SAS 61 requires that in the case of oral communications the auditor “document the communication by appropriate memoranda or notations in the working papers.”⁴⁷⁶ Under SAS 61, the matters required to be communicated include:

[T]he initial selection of and changes in significant accounting policies or their application. The auditor should also determine that the audit committee is informed about the methods used to account for significant unusual transactions and the effect of significant accounting policies in controversial or emerging areas for which there is a lack of authoritative guidance or consensus. For example, significant accounting issues may exist in areas such as revenue recognition, off-balance-sheet financing, and accounting for equity investments.⁴⁷⁷

SAS 61 was amended in 1999 by Statement on Auditing Standards No. 90 (“SAS 90”), to reflect a recommendation of the “Blue Ribbon Committee on Improving the Effectiveness of Corporate Audit Committees” (the “Blue Ribbon Committee”).⁴⁷⁸ As a result of this amendment, auditors of public companies are required “to discuss with the audit committee the auditor’s judgments about the quality, not just the acceptability, of the company’s accounting principles and underlying estimates in its financial statements.”⁴⁷⁹ Effective for audits of public companies with reporting periods ending on or after December 15, 2000, SAS 90 provides as follows:

In connection with each SEC engagement . . . , the auditor should discuss with the audit committee the auditor’s judgments about the quality, not just the acceptability, of the entity’s accounting principles as applied in its financial reporting. Since the primary responsibility for establishing an entity’s accounting principles rests with management, the discussion generally would include management as an active participant.

⁴⁷⁶ SAS 61, at § 3 (as amended by SAS 90, at § 1) (AU § 380.03).

⁴⁷⁷ SAS 61, at § 7 (AU §.380.07).

⁴⁷⁸ SAS 90.

⁴⁷⁹ SAS 61, at § 11 (as amended by SAS 90, at § 1) (AU §380.11).

The discussion should be open and frank and generally should include such matters as the consistency of the entity's accounting policies and their application, and the clarity and completeness of the entity's financial statements, which include related disclosures. The discussion should also include items that have a significant impact on the representational faithfulness, verifiability, and neutrality of the accounting information included in the financial statements. Examples of items that may have such an impact are the following:

- Selection of new or changes to accounting policies
- Estimates, judgments, and uncertainties
- Unusual transactions
- Accounting policies relating to significant financial statement items, including the timing of transactions and the period in which they are recorded

Objective criteria have not been developed to aid in the consistent evaluation of the quality of an entity's accounting principles as applied in its financial statements. The discussion should be tailored to the entity's specific circumstances, including accounting applications and practices not explicitly addressed in the accounting literature, for example, those that may be unique to an industry.⁴⁸⁰

The evidence indicates that Andersen kept Enron's Audit Committee informed about the activities of the Blue Ribbon Committee and its recommendations to strengthen the effectiveness of audit committees through improved communication.⁴⁸¹ When questioned about this topic, Audit Committee Chairman Jaedicke stated: "Now, I put that question directly to Mr. Duncan, Dave Duncan, when it – when that pronouncement came

⁴⁸⁰ SAS 90, at § 1 (amending SAS 61, at § 11) (AU § 380.11) (footnotes omitted).

⁴⁸¹ See, e.g., Minutes of Enron Audit Committee Meeting, Aug. 9, 1999 (the "Audit Committee 8/9/99 Minutes"), at 2 [AB000197680-AB000197682], Second Quarter 1999 Update Presentation, *SEC Concerns*, at 11-13 (attached to Audit Committee 8/9/99 Minutes) [AB0246 01215-AB0246 01228]; Minutes of Enron Audit Committee Meeting, Oct. 11, 1999 [AB000197531-ABAB000197534].

out. I said, How do we go about discussing the quality of accounting standards? And his reply to me was, We do that all the time. That was part of the process.”⁴⁸²

As discussed in more detail below, however, the evidence reviewed by the Examiner would permit a fact-finder to conclude that Andersen failed to satisfy the requirements of SAS 61,⁴⁸³ particularly with respect to determining that the Audit Committee was informed about the “effect” of Enron’s accounting for its SPE transactions and the significant impact those transactions had on the representational faithfulness of the accounting information included in Enron’s financial statements.⁴⁸⁴ When asked about this subject, Audit Committee Member John Wakeham testified as follows:

Q: . . . I’m trying to understand if Andersen or management ever reported the magnitude of these things out?

A: No.

⁴⁸² Sworn Statement of Robert K. Jaedicke, Enron, to John L. Latham, A&B, Dec. 19, 2002, at 61.

⁴⁸³ For the convenience of the reader, this Appendix refers to the communication requirements of SAS 61, both prior and subsequent to the amendments provided by SAS 90, as “SAS 61” communication requirements. Both SAS 61 and the amendment provided by SAS 90 are codified in AU § 380.

⁴⁸⁴ “Representational faithfulness” is a concept found in FAC 2, and stands for the proposition that the accounting for a transaction should “faithfully represent” the substance of the underlying transaction. The FACs are not a part of the “GAAP hierarchy” described in SAS 69. Thus it is possible, at least under the standards that accountants have adopted for themselves, that financial statements could “fairly present in accordance with GAAP” the financial condition, results of operations and cash flow of an entity, but still not faithfully represent the economic substance of the entity’s financial condition, results of operations and cash flow. That does not mean, however, that GAAP statements cannot be materially misleading. *See U.S. v. Simon*, 425 F.2d 796 (2d Cir. 1969), cert. denied, 397 U.S. 1006 (1970) (“critical test” is whether financial statements as a whole “fairly present” the financial position and results of operations of the company for the period under review; compliance with GAAP “persuasive” but not “conclusive” that the facts as certified were not materially misleading). The work of the Blue Ribbon Committee, as evidenced in SAS 90, amending SAS 61 effective for financial statements issued after December 15, 2000, sought to clarify the accountant’s responsibility in this regard: if an entity is using rules-based GAAP to report financial information that does not faithfully represent the economic substance of the entity’s financial condition, results of operations and cash flow, the accountant must report this to the audit committee. *See* SAS 90.

Q: And said, 'Given the impact, we really need to have a heart-to-heart or a hard discussion about some of these issues.'

A: Absolutely, no, there's no way. I mean, how could any of us not have. . . I mean, we couldn't have sat there and listened to a presentation of those sort of figures without there being a reference in the minutes, to start off with, without there being some corrective action taken on some things. It simply didn't happen. It simply didn't happen.

. . . [I]f these figures or even half of these figures had been presented to us and the auditors had said, "I hope you understand, we're not happy with this" . . . They didn't. We got 100 per cent signal in the other direction.

What we know now about meetings of the Arthur Andersen managing committee, or whatever it was, the week before February 2001, we know a lot of things we didn't know then, and the story would have been very different.

It was the audit committee meeting in February 2001, February 13th I think but I'm not sure, and the reported Arthur Andersen meeting of the week before which, from what I have understood, totally contrary views of Arthur Andersen's view on Enron was reported. Now, if they'd told us that then, I don't know whether we could have saved the company but we would have had a damn good shot. We'd have had a damn good shot. It was there. The impact was just horrible.⁴⁸⁵

⁴⁸⁵ Sworn Statement of John Wakeham, Enron, to John L. Latham, A&B, Dec. 5, 2002 (the "Wakeham Sworn Statement"), at 121, 52, 73-78, 99-100, 120-22, 140-42, 203-04; Sworn Statement of Ronnie C. Chan, Enron, to William C. Humphreys, A&B, Aug. 9, 2003 (the "Chan Sworn Statement"), at 243, 247-49 (Q: "I mean, as part of this presentation, was there a discussion with Arthur Andersen about, 'Okay. Portfolio monetizations, you've said, get a circle-H on accounting judgment. How many of those are there that we're talking about? Is it a billion dollars? Is it a million dollars? How much is it so I can at least evaluate my risks or exposure or whatever with regard to the magnitude of these things that are being discussed here?'" A: "I did not ask that question." Q: "All right. But do you recall that sort of information and dialogue occurring?" A: "I do not recall anything specific."); Sworn Statement of Paulo V. Ferraz Pereira, Enron, to William C. Humphreys, Jr., A&B, Sept. 12, 2003 (the "Pereira Sworn Statement"), at 179-80 (Q: "At the audit committee, did - was there any discussion about prepaids and how Enron was using prepaids, how they were going to be disclosed, how they were going to be discussed, what the amount, effect, magnitude was at the audit committee? Did you ever have any of those discussions with Arthur Andersen?" A: "Not that I recall."); Sworn Statement of Wendy Lee Gramm, Enron, to William C. Humphreys, Jr., A&B, Aug. 20, 2003 (the "Gramm Sworn Statement"), at 111-13, 131-33, 156 (Q: "Do you recall whether there was an effort to take any one of these categories of transactions that we've talked about and look back in the financials to see what the dollar figure was associated with that category, or is that something, I think you said before, that you thought that Arthur Andersen was doing and you did not do it as an audit committee?" A: "As an audit committee, I agree, that's correct."); Sworn Statement John Mendelsohn, Enron, to William C. Humphreys, Jr., A&B, Sept. 9, 2003 (the "Mendelsohn

Andersen's SAS 61 Presentation for 1998

At an Audit Committee meeting held on February 7, 1999, Duncan, as a part of his SAS 61 presentation to the Audit Committee on Enron's 1998 financial statements, "reviewed selected observations by Arthur Andersen including a risk profile analysis of accounting judgments, disclosure judgments, and rule changes," with respect to Enron's 1998 financial statements.⁴⁸⁶ The attachments to Audit Committee minutes include the following Andersen slide:⁴⁸⁷

Sworn Statement"), at 84-85 (Q: "And you don't recall any particular disclosure issue about anything where Arthur Andersen said, 'Let's talk about this item or accounting principle. Here's its impact on the financial statements, and here's how we may or may not disclose it,' that level of detail?" A: "No, to the contrary, they made me feel that they were confident and comfortable with the conclusions about how to present this information that had been reached, and they were signing off on them, and we - we were in fine shape."); *Id.* at 96-97 (Q: "Do you recall any presentations at the audit committee by Arthur Andersen of, for example, here are the total number of FAS 125 transactions we've entered into - that the company's entered into this year, that sort of discussion?" A: "The example you're giving I do not remember being discussed."); *Id.* at 99-100 (Q: "And you don't recall there were discussions about the magnitude of the prepaids at Enron?" A: "No, I don't recall that discussion." Q: "And the same question on prepaids and with regard to the manner and method of disclosure of them in financial statements, was that a topic of discussion at the audit committee?" . . . A: "No, we didn't discuss how they should be disclosed. They were disclosed."); *Id.* at 103-04 (Q: "Were there presentations or discussions about - in the audit committee meeting about the amount and extent of earnings that the company was experiencing because of mark to market accounting?" A: "The amount of earnings that they were experiencing because of mark to market accounting, as a - I don't think it was discussed in that context."); Sworn Statement of Joe H. Foy, Enron, to William C. Humphreys, Jr., A&B, Aug. 26, 2003 (the "Foy Sworn Statement"), at 138-39, 143 (Q: "And do you recall that they put any dollar signs or dollar amounts -" A: "No." Q: "—on the magnitude of those transactions?" A: "No. No.").

⁴⁸⁶ Minutes of Enron Audit Committee Meeting, Feb. 7, 1999 (the "2/7/99 Audit Committee Minutes"), at 2 [AB000191702-AB000191704]. Duncan's first SAS 61 presentation as engagement partner, on Enron's 1997 financial statements at the February 9, 1998 Audit Committee meeting, contains no mention of high risk accounting judgments or disclosure judgments. 2/9/98 Audit Committee Minutes.

⁴⁸⁷ See Audit Update Presentation, *Selected Observations - 1998 Financial Reporting*, at AB000191703 (attached to 2/7/99 Audit Committee Minutes) (handwritten notes redacted to improve legibility) [AB000191702-AB000191704].



Selected Observations 1998 Financial Reporting

Category	Risk Profile			Comment
	Accounting Judgements	Disclosure Judgements	Rule Changes	
Highly Structured Transactions Energy Asset Securitizations	(H)	(H)	(H)	- Judgement Relates To General Applicability of Model And Any Retained Control Features - Significance of Earnings Heightens Need for Disclosure - Ongoing Rulemaking Activity Could Drastically Limit Model
Other Income Related	(H)	M	M	Judgement Usually Relates To Extent of Any Continued Involvement And/Or Contingency Exposures
Commodity and Equity Portfolio Commodities (MTM) and Merchant Investments (Fair Value)	(H)	(H)	M	- Inherent Judgement Around Methodologies - Significance of Merchant Earnings Heightens Need For Disclosure
Prudency	(H)	(H)	L	- Assessment and Documentation Procedures Recently Enhanced - Relationship to SEC Hot Areas
Purchase Accounting	(H)	M	L	Judgement Relates To Original Valuations and Accounting for Subsequent Activity
Balance Sheet Issues Equity Investments	(H)	(H)	M	- Judgement Relates To Control And Retained Economic Parameters - Continue Appropriate Commitment/Guarantee/Contingency Disclosures
Portfolio Monetizations	(H)	M	(H)	- Judgement Relates To Extent of Any Continued Involvement - Ongoing Rulemaking Activity (Could Be Positive)
Other				

**ARTHUR
ANDERSEN**

As this slide indicates and as has been confirmed through interviews and testimony, the Andersen partners disclosed to the Enron Audit Committee that Enron's accounting judgments and disclosure judgments in the indicated categories had a high "risk profile." The slide also notes that the "Significance of Earnings Heightens Need for Disclosure" in the area of "Highly Structured Transactions – Energy Asset Securitizations," and that the "Significance of Merchant Earnings Heightens Need for Disclosure" in the area "Commodity and Equity Portfolio – Commodities (MTM) and Merchant Investments (Fair Value)."

These presentation materials, and the testimony of Audit Committee members in attendance,⁴⁸⁸ suggest that the Audit Committee was not informed about the amount of income, operating cash flow, or indebtedness involved in these high “risk profile” accounting judgments and disclosure judgments, and was not sufficiently apprised of the facts or analysis on which the judgments were based.⁴⁸⁹ As indicated above, however, SAS 61 requires auditors to

determine that the audit committee is informed about the methods used to account for significant unusual transactions and the effect of significant accounting policies in controversial or emerging areas for which there is a lack of authoritative guidance or consensus. For example, significant accounting issues may exist in areas such as revenue recognition, off-balance sheet financing, and accounting for equity investments.⁴⁹⁰

At this meeting, the Audit Committee members were told that Andersen was prepared to render its unqualified opinion on the 1998 financial statements and that Andersen had reviewed the MD&A portion of Enron’s 1998 SEC Form 10-K.⁴⁹¹ The presentation and testimony thus suggest that Andersen disclosed the fact that the accounting judgments and disclosure judgments in the listed categories had a high “risk profile” without advising the Audit Committee about the effect of those judgments on the financial condition or results reported by Enron. There is no evidence that any member of the Audit Committee asked for a quantification or more detailed analysis concerning

⁴⁸⁸ See, e.g., Chan Sworn Statement, at 57, 243, 247-49; Gramm Sworn Statement, at 111-13, 131-33, 156; Foy Sworn Statement, at 138-39, 143; Wakeham Sworn Statement, at 52, 73-78, 99-100, 120-22, 140-42, 203-04. Goddard did not recall specific instances of such information being conveyed to the Audit Committee, although he did state that the meetings were “very interactive.” Goddard Interview. Bauer has exercised his Fifth Amendment privilege.

⁴⁸⁹ Moreover, the precise breakout of earnings from energy asset securitizations and earnings from fair value accounting applied to merchant investments are not apparent from the 1998 financial statements or MD&A. See Second Interim Report, Appendix D (Enron’s Disclosure of Its SPEs), at 25.

⁴⁹⁰ SAS 61, at § 7 (AU § 380.07).

⁴⁹¹ 2/7/99 Audit Committee Minutes, at 1.

the effects of these accounting and disclosure judgments on Enron's financial statements.⁴⁹²

Counsel to Andersen has provided the Examiner with documents purported to be notes prepared by Duncan reflecting statements he made to the Audit Committee at this meeting. These notes indicate that in his SAS 61 presentation on the 1998 financial statements, Duncan may have told the Audit Committee:

- In connection with "Highly Structured Transactions": "\$700 million income in wholesale from sale of equity inv. in Dev projects - Completely within current rule framework but some folks of different view. Our big issue was disclosure;" and
- In connection with "Balance Sheet Issues – Equity Investments" that the transactions "Meet 1st Criteria – Control. But Guarantees or Support Arrangements could Shade."⁴⁹³

The Examiner has reviewed the Andersen work papers that have been produced to the Examiner and has been unable to find these notes in the work papers. SAS 61 provides that the auditor should document all oral communications with the audit committee in the auditor's work papers.⁴⁹⁴ Testimony from Audit Committee members indicates that, notwithstanding the express requirements of SAS 61, they were not

⁴⁹² See, e.g., Chan Sworn Statement, at 248-49 (Q: "Do you recall any sort of discussion to try to put sort of numbers with regard to the amounts of things being discussed here?" A: "I don't remember having numbers placed on it, nor people asking. Frankly, if one were to get too much into numbers, sometimes you can destroy the impact of the point that you're trying to get at."); Gramm Sworn Statement, at 131-33 ("In our view, that was what the auditors did and management did, and the auditors would be reviewing those kinds of numbers.").

⁴⁹³ David Duncan, Handwritten Notes on Audit Update Presentation, *Selected Observations - 1998 Financial Reporting*, ("Duncan Notes on 1998 Selected Observations") (presentation slide attached to Audit Committee 2/7/99 Minutes) [AB0911 2248]. As previously indicated, these notes have not been authenticated and, as a result of Duncan's exercise of his Fifth Amendment privilege, the Examiner has been unable to ask Duncan about them.

⁴⁹⁴ SAS 61, at § 3 (as amended by SAS 90, at § 1) (AU § 380.03).

informed about the effects of the high “risk profile” accounting judgments and disclosure judgments identified in Andersen’s SAS 61 presentation.⁴⁹⁵

Enron’s use of its accounting techniques to enhance its 1998 financial statements included the following SPE transactions investigated by the Examiner:

- Prepay Transactions: Using prepays with JPMorgan Chase/Mahonia and Citigroup/Delta, Enron appears to have produced at least \$690 million of operating cash flow.⁴⁹⁶
- FAS 140 Transactions: Through its Riverside 3, Riverside 4 and Pilgrim transactions with CIBC, Enron recognized \$342.2 million of gain (\$222.4 million after the tax provision) and \$738.5 of operating cash flow from these financings.⁴⁹⁷
- Tax Transactions: Through its Steele, Teresa and Tomas transactions, Enron reported approximately \$51.5 million of GAAP income (net of the tax provision).⁴⁹⁸

⁴⁹⁵ See, e.g., Chan Sworn Statement, at 248-49; Gramm Sworn Statement, at 111-13, 131-33, 156; Foy Sworn Statement, at 138-39, 143; Wakeham Sworn Statement, at 52, 73-78, 99-100, 120-22, 140-42, 203-04.

⁴⁹⁶ This figure includes \$500 million of Prepay Transaction cash flow through transactions with Mahonia, and \$190 million of Prepay Transaction cash flow through transactions with Delta, based upon a report by Fastow dated August 13, 2001. See Enron Corp. Chief Financial Officer Report, Aug. 13, 2001, at 5 [AB000204725-AB000204736]. It does not include the \$500 million Roosevelt Prepay Transaction that was originated in 1998 and repaid in 1999, nor repayments during 1998 of Prepay Transaction obligations incurred prior to 1998. To the extent that any such repayments were greater than \$500 million, the \$690 million figure overstates the cash flow generated by 1998 Prepay Transaction activity. To the extent that any such repayments were less than \$500 million, the \$690 million figure understates the cash flow generated by 1998 Prepay Transaction activity.

⁴⁹⁷ See Third Interim Report, Appendix H (Role of CIBC and its Affiliates) (after-tax income effect derived by applying the statutory tax rate of 35%). As indicated previously, evidence does suggest that Duncan may have informed the Audit Committee as to the total securitizations completed during 1998. See Duncan Notes on 1998 Selected Observations.

⁴⁹⁸ This amount was calculated based upon the Limited Financial Accounting Summary of Certain Projects as Requested by the Enron Corp. Examiner, prepared by Enron, dated October 2, 2002, describing the financial statement effects of the Teresa, Steele, Tomas, Cochise, Apache, Condor and Tammy I transactions. The components of reported income generated from these transactions before application of the tax provision, i.e., the pre-IBIT components, have been reduced by applying the statutory tax rate of 35%.

- **Minority Interest Transaction:** Through the Rawhide transaction, Enron raised \$727.5 million of fully recourse indebtedness that it reported as minority interest on its balance sheet.⁴⁹⁹
- **Share Trust Transaction:** Through the Marlin share trust Enron financed the acquisition of the Wessex water system with \$1.15 billion of off-balance sheet, fully recourse indebtedness.⁵⁰⁰

These transactions represented approximately 39% of Enron's 1998 net income of \$703 million and over 87% of its \$1.64 billion of operating cash flow.⁵⁰¹ It does not appear that Andersen disclosed these amounts to the Audit Committee or otherwise determined that the Audit Committee was informed about the material effect of Enron's high risk profile accounting and disclosure judgments on Enron's 1998 financial statements.

Andersen's SAS 61 Presentation for 1999

At the Audit Committee meeting held February 7, 2000, during his SAS 61 presentation on the 1999 financial statements, Duncan "commented on selected observations from the Company's 1999 financial reporting and stated that the Company's sophisticated business practices introduced a high number of accounting models and applications requiring complex interpretations and judgments and that the broadness of the SEC business-related disclosure requirements added to the complexity of the

⁴⁹⁹ See Second Interim Report, Appendix I (Minority Interest Transactions).

⁵⁰⁰ The Marlin Share Trust transaction involved off-balance sheet financing and accounting for equity investments, two specific examples cited in SAS 61, at § 7 (AU § 380.07) as "controversial or emerging areas for which there is a lack of authoritative guidance or consensus." The off-balance sheet accounting depended on an extension of rules governing the consolidation of real estate limited partnership to the non-real estate area. Such an extension was the subject of EITF 98-6 in the fall of 1998, in which the EITF reached no consensus.

⁵⁰¹ Percentage impact derived through comparison of cited amounts and the Enron 1998 Annual Report.

Company's financial reporting."⁵⁰² The following Andersen slide is attached to the Audit Committee minutes:⁵⁰³



Selected Observations 1999 Financial Reporting

- Sophistication of Company's Business Practices Introduces A High Number of Accounting Models and Applications Requiring Complex Interpretations and Judgement
 - Highly Structured Transactions
 - Energy Asset Securitizations
 - Syndication Vehicles
 - Complex Sales Structures (Various Assets)
 - Other
 - Application of Mark-to-Market (Commodity) and Fair Value (Investment) Models
 - Interpretation of Complex Business Transactions
 - Judgement Surrounding Valuation Methodologies (Curves, Models, Reserves)
 - Consistent Application of Policies
 - Interaction With Traditional Accrual-Based Models
- Adequacy of Business-Related Disclosures (e.g. MD&A and Segments) Increasingly Judgemental Given Nature of Company Activities
 - SEC Guidance = "Discuss All Material Events or Uncertainties That Would Cause Reported Financial Information Not to Be Necessarily Indicative of Future Operating Results"
 - Enron Business-Related Disclosure Challenges:
 - Continued Growth of Earnings Related to "Value Creation" Dependent Businesses
 - Transaction Dependent "Origination" Activities
 - Mark-To-Market and Fair Value Earnings
 - Appropriateness of Reported Segments Considering Continued Expansion of Wholesale Activities
 - Balance of Confidentiality vs. User Considerations
 - Practical Constraints and Practices of Others

As indicated in the slide, the 1999 report identified some of the same categories of accounting judgments and disclosure judgments that the 1998 report identified as having a high "risk profile," including highly structured transactions, and mark-to-market and fair value accounting. Notes on this particular slide suggest that Duncan may have advised the Audit Committee:

⁵⁰² 2/7/00 Audit Committee Minutes, at 2.

⁵⁰³ See Audit Update Presentation, *Selected Observations – 1999 Financial Reporting*, at AB000201144 (attached to 2/7/00 Audit Committee Minutes) (handwriting redacted to improve legibility) [AB000201141-AB000201144].

As we have discussed on a number of occasions, we work closely with the Company as they structure transactions and take positions. We very often utilize our central technical group to help the company and us manage risk surrounding this activity. We are on board with all the companies [sic] positions or you would hear about them[.] The issue is, particularly considering today[']s regulatory environment, we are all subject to the second guessing of those who might have a different view.”⁵⁰⁴

However, the Examiner has reviewed no evidence indicating that the 1999 presentation informed the Audit Committee about the effects of these accounting and disclosure judgments on Enron’s financial statements. Instead, it appears that these issues were addressed summarily through a notation to the effect that the “Sophistication of Company’s Business Practices Introduces A High Number of Accounting Models and Applications Requiring Complex Interpretations and Judgments.” Similarly, the disclosure risk is identified as being “Increasingly Judgmental Given Nature of Company Activities.”

Enron’s use of its accounting techniques to enhance its 1999 financial statements included the following SPE transactions investigated by the Examiner:

- Prepay Transactions: Prepay Transactions, including the \$800 million Yosemite I Prepay, were used to produce \$1.5 billion of operating cash flow.⁵⁰⁵
- FAS 140 Transactions: Through six FAS 140 Transactions with CIBC in 1999, Enron recognized \$115.3 million in gain (\$74.9 million after the tax provision) and \$827 million of operating cash flow.⁵⁰⁶

⁵⁰⁴ David Duncan, Handwritten Notes on Audit Update Presentation, *Selected Observations – 1999 Financial Reporting* (“Duncan Notes on 1999 Selected Observations”) (presentation slide attached to Audit Committee 2/7/00 Minutes) [AB0911 2265].

⁵⁰⁵ See Second Interim Report, Appendix E (Prepay Transactions).

⁵⁰⁶ See Third Interim Report, Appendix H (Role of CIBC and its Affiliates) (after-tax income effect derived by applying the statutory tax rate of 35%).

- Non-Economic Hedging Transaction: Enron recognized \$95 million (\$61.8 million after the tax provision) of its \$893 million of net income in the LJM1/Rhythms transaction.⁵⁰⁷
- Tax Transactions: Through its Teresa, Steele, Cochise, Apache and Condor transactions, Enron reported approximately \$104.6 million of GAAP income (net of the tax provision).⁵⁰⁸
- Minority Interest Transaction: The Nahanni transaction in late December generated \$500 million of Enron's \$1.2 billion of 1999 operating cash flow.⁵⁰⁹
- Share Trust Transaction: In 1999, Enron restructured Whitewing from a Minority Interest Transaction to a Share Trust Transaction involving \$2.4 billion of off-balance sheet, fully recourse indebtedness.⁵¹⁰

These transactions represented approximately 27% of Enron's 1999 net income of \$893 million and over 206% of its \$1.23 billion of operating cash flow (which would have been negative without these transactions).⁵¹¹

The FAS 140 Transactions, the Minority Interest Transactions, the Share Trust Transactions and the FAS 140 Transactions were in substance secured loans fully recourse to Enron. The Prepay Transactions were in substance unsecured loans. Each of these structures involved accounting risk because they were, at best, on the outer fringes

⁵⁰⁷ See Second Interim Report, Annex 2 to Appendix L (Related Party Transactions) (after-tax income effect derived by applying the statutory tax rate of 35%).

⁵⁰⁸ This amount was calculated based upon the Limited Financial Accounting Summary of Certain Projects as Requested by the Enron Corp. Examiner, prepared by Enron, dated October 2, 2002, describing the financial statement effects of the Teresa, Steele, Tomas, Cochise, Apache, Condor and Tammy I transactions. The components of reported income generated from these transactions before application of the tax provision, i.e., the pre-IBIT components, have been reduced by applying the statutory tax rate of 35%.

⁵⁰⁹ See Second Interim Report, Annex 3 to Appendix I (Minority Interest Transactions).

⁵¹⁰ See Second Interim Report, Appendix G (Whitewing Transaction).

⁵¹¹ Percentage impact derived through comparison of cited amounts and the Enron 1999 Annual Report.

of rules-based GAAP.⁵¹² The FAS 140 Transactions, the Minority Interest Transactions, and the Share Trust Transactions involved disclosure risks, because the full recourse nature of these financings was not disclosed. The Prepay Transactions involved disclosure risk, because debt was concealed in price risk management liabilities and the extent of Enron's operating cash flow that came from these borrowings was not disclosed. Each of these financing transactions was structured in a manner that resulted in these accounting and disclosure risks, not because of the complexity of Enron's business, but because Enron wanted to achieve financial statement benefits.

The Non-Economic Hedging Transactions and Tax Transactions involved accounting and disclosure risks, because there was no business purpose to those transactions except financial statement enhancement.

Thus, the high risk nature of the accounting judgments and disclosure judgments in the categories Andersen identified to the Audit Committee was attributable to the complexity of the structures, which were designed to present income, cash flow and financial position materially more favorable than that actually produced by its business. However, a fact-finder could conclude that Andersen's communications to the Audit Committee, on this occasion and other occasions, did not inform the Audit Committee about the actual source and implications of these high risk accounting judgments and disclosure judgments.⁵¹³

⁵¹² Second Interim Report, Appendix I (Minority Interest Transactions), at 59-69; Second Interim Report, Appendix G (Whitewing Transaction), at 113-36; Second Interim Report, Appendix M (FAS 140 Transactions), at 24-33; Second Interim Report, Appendix E (Prepay Transactions), at 29-45 (each describing the limited applicability of GAAP and the difficulty of applying GAAP to such transactions).

⁵¹³ See Audit Update Presentation, *Selected Observations – 1999 Financial Reporting*, at AB000201144 (attached to 2/7/00 Audit Committee Minutes) ("Sophistication of Company's Business Practices Introduces A High Number of Accounting Models and Applications Requiring Complex Interpretations

May 2000 Audit Committee Meeting

Andersen's annual SAS 61 presentations typically were made at the February meetings of the Audit Committee, just prior to the release of Enron's annual financial statements. At the May 1, 2000 Audit Committee meeting, however, Duncan also commented on "inherent risks" that were "high priorities":

Mr. Duncan discussed the financial reporting areas that AA had determined to be high priorities due to inherent risks that were present. He stated that the on-going high priority areas included structured transactions, the merchant portfolio, commodity trading activities, project development activities, and inter-company and related party transactions. He also commented on specific areas where AA would be spending additional time including the following: (1) the formalization of accounting models, policies, and procedures relating to Enron Energy Services, LLC ("EES"), Enron Broadband Services, Inc. ("EBS"), Enron NetWorks, and the Company's activities in Japan, (2) structured transactions related to securitizations and syndication and hedging vehicles, and (3) analyzing the impact of rulemaking activity specifically as it relates to the Company. Mr. Causey joined him in a discussion of the interpretation of previously issued financial accounting standards board pronouncements, especially as they related to the Company and its customers.⁵¹⁴

and Judgments.") [AB000201141-AB000201144]; *see also, e.g.*, Wakeham Sworn Statement, at 188 (denying that Andersen conveyed to the Audit Committee that Enron was engaging in "high risk accounting"); *id.* at 76-77 ("They did divide things up into high, immediate [sic] and low, but what they pointed out to us was the high was the complicated issues which they were concentrating on. They said they had to. . . . And I took comfort from the auditors reassuring us that they recognized that some of these transactions were complicated and difficult, and therefore they concentrated their audit work in making sure that the company got it right."); Foy Sworn Statement, at 143-44; (discussing Andersen presentations discussing risk and stating "Andersen was demonstrating to us the nature of its work, the intensity of that work, and the thoroughness of that work. And that was, of course, our principle concern."); Mendelsohn Sworn Statement, at 85 ("[T]hey made me feel that they were confident and comfortable with the conclusions about how to present this information that had been reached, and they were signing off on them, and we – we were in fine shape."); Gramm Sworn Statement, at 112-13 (Q: "[Y]ou don't recall the discussion being we're spending time on this, there are a couple of ways we might disclose it or treat it and we have decided to do X rather than Y, or any discussions like that?" A: "Not on specific issues. What they did say is that there are issues that are, that take time and judgment, and they work, they're on top of it, they work with the management in the early stages, they talk to their Chicago and New York offices and et cetera, so – but not specifics.").

⁵¹⁴ Minutes of Enron Audit Committee Meeting, May 1, 2000, at 1-2 [AB00201253-AB000201256].

Even though Enron used LJM1 in 1999 to recognize \$95 million of income through its Rhythms hedge,⁵¹⁵ this is the first recorded mention to the Audit Committee that related party transactions (“hedging vehicles”) constituted a risk area. Handwritten notes provided to the Examiner related to this meeting indicate that Duncan may have advised the Audit Committee that a “Structured Vehicle to Facilitate Investment Hedging Activities” had closed in the second quarter providing “≈\$1 Billion Notional Amount Capacity for Further Hedge Investments (Swaps, Puts) as accepted by Counterparty. As with prior LJM transactions, any of these will require disclosure as a related party transaction.”⁵¹⁶

At this meeting, Duncan also distributed a handout that addressed the AICPA’s suggested topics for “Expanded Qualitative Discussions Between Outside Auditors and Company’s Audit Committee.” Among the suggested topics for expanded qualitative discussions between auditors and their clients were:

- “Accounting Principles Applied vs. Acceptable Alternatives”
- “Use of Special Structures and Timing of Actions”
- “Frequency and Significance of Transactions with Related Parties.”⁵¹⁷

The minutes of this Audit Committee meeting reflect that Duncan “stated that, in AA’s opinion, they were already addressing all of the topics with the Committee and AA would address any specific items on an on-going basis as necessary.” The next slide in

⁵¹⁵ Second Interim Report, Appendix L (Related Party Transactions), at 23.

⁵¹⁶ David Duncan, Handwritten Notes on Audit Update Presentation, *Selected Observations Through First Quarter of 2000* (presentation slide attached to Audit Committee 5/1/01 Minutes) [AB0911 2268].

⁵¹⁷ First Quarter 2000 Audit Update Presentation, *Financial Reporting & Accounting Principles*, at AB0246 01578 (attached to Minutes of Enron Audit Committee Meeting, May 1, 2000) [AB0246 01578-AB0246 01581].

Duncan's presentation identified the following "High Priority Financial Reporting Risk Areas:"

- Complex Accounting For Structured Transactions
- Merchant Asset and Investment Portfolio
 - Portfolio Management and Valuation
 - Applicability of Fair Value Accounting Model
 - Commodity Trading Activities
- Project Development Activities
 - Cost Deferral
 - Revenue Recognition
 - Consolidation
- Sophisticated Debt and Equity Transactions
- Intercompany and Related Party Transactions⁵¹⁸

As noted above, in 2000 Enron used its accounting techniques to generate almost all of its net income and operating cash flow, and to keep \$8.6 billion of debt off of Enron's balance sheet. Despite express recognition of the need for qualitative discussions with the Audit Committee concerning "Accounting Principles Applied vs. Acceptable Alternatives," the "Use of Special Structures and Timing of Actions," and the "Frequency and Significance of Transactions with Related Parties," and despite specifically identifying categories of "High Priority Financial Reporting Risk Areas," there is no indication in Andersen's work papers, other documentary evidence or

⁵¹⁸ First Quarter 2000 Audit Update Presentation, *High Priority Financial Reporting Risk Areas*, at AB0246 01579 (attached to Minutes of Enron Audit Committee Meeting, May 1, 2000) [AB0246 01578-AB0246 01581].

testimony obtained by the Examiner that Duncan, Bauer, Goddard, or Enron management present at the meeting discussed the magnitude of the risk in terms of income, cash flow or indebtedness, or what effect realization of the risk would have on Enron or its financial statements.

Likewise, there is no evidence of discussion concerning the specific accounting and disclosure judgments that were required with respect to the identified categories. Nor is there evidence of discussion that the structured transactions and other “risk areas” were designed and used for the specific purpose of reporting and disclosing the transactions on a basis that was materially more favorable to Enron than would have resulted from a faithful representation of the underlying economics of the transactions.⁵¹⁹

Andersen’s SAS 61 Presentation for 2000

As discussed above, on February 5, 2001, Andersen held an internal client retention meeting during which Andersen personnel discussed the risks inherent in Andersen’s continued engagement by Enron, including the risks related to the amount of Enron’s earnings and cash flow attributable to mark-to-market accounting, fair value accounting, FAS 140 Transactions and related party transactions.

The minutes of the meeting of the Enron Audit Committee one week later on February 12, 2001 indicate that as a part of Andersen’s SAS 61 communication with the Audit Committee on the 2000 financial statements, that:

Mr. Duncan then provided selected observations regarding the Company’s accounting procedures and financial reporting. He stated that the Company continued to utilize highly structured transactions, such as securitizations and syndications, in which there was significant judgment

⁵¹⁹ Nor does the evidence suggest that the members of the Audit Committee asked questions concerning these high risk accounting judgments and disclosure judgments.

required in the application of GAAP. He commented on the use of mark-to-market and fair value model accounting in the areas of trading and derivative contracts and stated that these also required significant judgment regarding the applicability of certain models to specific products or transactions. He then reviewed related party transactions, classification issues that had arisen during the year, and certain areas requiring material judgments to be made.⁵²⁰

In connection with this discussion, Duncan presented the following two slides:⁵²¹

⁵²⁰ 2/12/01 Audit Committee Minutes, at 1-2. As noted above, the enhancement of the SAS 61 auditor communication requirements implemented by SAS 90 was effective for financial reporting periods ending on or after December 15, 2000. See SAS 90, at § 2 (AU 380.03). Accordingly, that enhancement was applicable to the communications made by Andersen at the February 12, 2001 Audit Committee meeting.

⁵²¹ Selected Observations of 2000, at AB000204304-AB000204305. As discussed above, these same slides were presented at the internal client retention meeting, except the second bullet under the Comment column beside "Highly structured transactions," read "Application of GAAP often requires extreme judgment" rather than "significant judgment." Handwritten notes related to that meeting suggest that in his oral presentation Duncan may have described the risks as "extreme." David Duncan, Typed Notes entitled "Financial Comments," undated (the "Duncan Financial Comments Notes") [AB0911 2292]. Those same notes suggest Duncan may have told the committee "the Company often draws distinctions or takes positions that could be second guessed by others with a different view." *Id.*



2000 Audit Update

Selected Observations - Financial Reporting

<u>Category</u>	<u>Examples</u>	<u>Comment</u>
Highly structured transactions	• Securitizations • Syndication and off-balance sheet vehicles • Other complex sales structures • Complex contract structures	• High dependency on transactions to meet objectives • Application of GAAP often requires significant judgement • Continued interpretive guidance likely • Extent of necessary disclosures can be judgemental
Use of mark-to-market and fair value model	• Trading contracts • Derivative contracts • Investment company holdings of public and non-public securities	• Significant inherent judgemental issues regarding: • Applicability of model to specific products or transactions; • Valuation (curves, reserves) • Multi-element arrangements • Consistency of application among business units continues to be refined • Incorporating new products continues to present challenges • Continued interpretive guidance likely • Extent of necessary disclosures can be judgemental



2000 Audit Update

Selected Observations - Financial Reporting

<u>Category</u>	<u>Examples</u>	<u>Comment</u>
Related party transactions	• LJM related activity • Syndication vehicles where company has an ownership interest	• Relationship issues add scrutiny risk to: • Judgemental structuring and valuation issues • Understanding of transaction completeness • Required disclosures reviewed for adequacy
Other Material Judgemental Areas	• Azurix impairment • Impact of high volatility on mark-to-market valuations • Credit (California) • India Contingencies	• Company positions reviewed for reasonableness • Certain disclosures made as warranted
Classification issues	• Financial statements classification • Other public disclosures	• Categorization of activities between certain segments, operating vs. non-operating or recurring vs. non-recurring can be highly judgemental • Certain intersegment allocation practices need refinement

Notes provided to the Examiner suggest that Duncan may have advised the Audit Committee:

With regard to disclosures, we have discussed before the inherent difficulty that exists in determining the appropriate depth to go related to any specific company activity. While the company has many good disclosure practices, we have discussed the risk that some might view the level of detail available, not so much in the financial statements, but in MD&A, as less than desirable in some areas. We understand the Company must balance the detail provided in these disclosures with commercial and practical constraints, but we often suggest additional details just the same.⁵²²

While the above notes indicate that Duncan may have alerted the Audit Committee generally regarding disclosure risk, the Examiner is aware of no evidence that Andersen informed the Audit Committee regarding which disclosures were “less than desirable.” Moreover, despite having quantified the various risks for its own internal risk review and client retention purposes, the evidence suggests that Andersen did not quantify the risks for the Audit Committee. As discussed above, SAS 61 requirements call explicitly for discussion of “items that have a significant impact on the representational faithfulness, verifiability, and neutrality of the accounting information included in the financial statements.”⁵²³

Conclusions Regarding Andersen’s SAS 61 Communications.

The evidence described above would permit a fact-finder to conclude that at least beginning with Enron’s 1998 financial statements, Andersen identified “highly structured transactions,” the use of mark-to-market accounting for commodity positions and the use

⁵²² See Duncan Financial Comments Notes.

⁵²³ SAS 61, at § 11 (as amended by SAS 90, at § 1) (AU § 380.11).

of fair value accounting for merchant investments as involving accounting judgments and disclosure judgments that had a high “risk profile,” but that Andersen did not:

- describe the magnitude or materiality of these high risk judgments in terms of Enron’s net income, operating cash flow or financial position;⁵²⁴
- describe specific transactions that were within these risk categories, or the nature of the accounting judgments and disclosure judgments that were required in any specific instance; or
- explain that the complexity and uncertainty arose not from the sophistication of Enron’s business operations, but from the sophistication and complexity of Enron’s efforts to structure transactions to portray its income, cash flow and financial position in a manner materially more favorable than was economically the case.

Based upon this evidence, a fact-finder could conclude that Andersen failed in its professional responsibility under SAS 61 to discuss with the Enron Audit Committee the selection and use of accounting principles by Enron, as well as the “quality, not just the acceptability”⁵²⁵ of these principles, the effect of the selection and use of these principles on Enron’s financial statements and the impact of their use on the representational faithfulness of Enron’s financial statements. In addition, the evidence described above is sufficient for a fact-finder to conclude that Andersen misled the Audit Committee to believe that the risky accounting judgments and disclosure judgments were attributable to the nature of Enron’s business rather than to the highly structured nature of transactions

⁵²⁴ Certain materials discussed with the Finance Committee present the type of detailed information regarding the effects of SPE Transactions that a fact-finder could conclude was required under SAS 61. *See, e.g.*, Finance Related Asset Sales (Andersen presentation slide to Finance Committee in April 2001) [AB0911 2306]; Materials from Enron Finance Committee Meeting, Aug. 7, 2000 (the “8/7/00 Finance Committee Materials”), at 23 (slide from Treasurer Report) [AB0247 01347-AB0247 01516]. While there is no evidence to suggest that this data was provided to the Audit Committee itself, the presentation of such information to a Board committee may suggest that at least some Board members were made aware of certain of the effects of some of the SPE transactions.

⁵²⁵ SAS 61, at § 11 (as amended by SAS 90, at § 1) (AU § 380.11).

in which it was engaging in order to increase reported net income or operating cash flow, or to remove reported debt from Enron's balance sheet. Based on this evidence, a fact-finder could conclude that Andersen aided and abetted breaches of duty by Enron's officers because:

- (i) Andersen had actual knowledge that the officers were breaching their fiduciary duties by disseminating financial information that was materially misleading;
- (ii) Andersen gave substantial assistance to these officers by failing to properly communicate to the Audit Committee when it was Andersen's duty to do so; and
- (iii) injury to the Debtor was a direct or reasonably foreseeable result of this conduct.

While a diligent member of the Audit Committee could have made further inquiry,⁵²⁶ having been told that Enron's management, with Andersen's concurrence, was making accounting judgments and disclosure judgments that had a high "risk profile," and possibly having been told that some might view Enron's MD&A as "less than desirable in some areas," the failure of the Audit Committee members to ask more questions does not excuse Andersen from the performance of its professional duty to the Audit Committee as explicitly set forth in SAS 61.

⁵²⁶ See Report, Appendix D (Roles of Lay, Skilling and Outside Directors).

V. POTENTIAL LIABILITY OF ANDERSEN

A. Arguments Supporting the Imposition of Professional Malpractice and Aiding and Abetting Liability

Elements of Professional Malpractice

As set out more fully in the Legal Standards Annex to this Appendix, a professional malpractice claim is essentially a negligence claim. The elements of a professional malpractice claim are: (i) a legal duty; (ii) breach of that duty; (iii) proximate cause;⁵²⁷ and (iv) damages. Thus, a cause of action for professional malpractice would exist if Andersen breached a legal duty owed to Enron, and if this breach proximately caused injury to Enron. Andersen owed Enron “a duty to exercise the degree of care, skill and competence that reasonably competent members of [the accounting] profession would exercise under similar circumstances.”⁵²⁸

As summarized below and as discussed in this Appendix, there is sufficient evidence, including the testimony of Andersen professionals and related documentary evidence in the Andersen criminal trial, for a fact-finder to conclude that Andersen was negligent in rendering its services to Enron, and that this breach proximately caused damages to Enron.

Elements of Aiding and Abetting Liability

In the Third Interim Report, the Examiner determined that there is sufficient evidence for a fact-finder to conclude that: (i) certain of Enron’s officers, including those

⁵²⁷ Proximate cause generally includes a degree of reliance. Whether a showing of reliance by Enron could be made depends in part on the “imputation doctrine” discussed in the Legal Standards Annex. Specifically, whether a showing could be made that Enron relied on Andersen’s audits will depend on whether knowledge of certain Enron officers (those officers who knew that Enron’s financial statements were misleading) would be imputed to Enron.

⁵²⁸ *In re Sunpoint Sec., Inc.*, 262 B.R. 384, 398 (Bankr. E.D. Tex. 2001).

responsible for Enron's accounting and disclosure, breached their fiduciary duties under applicable law by causing Enron to enter into certain SPE transactions that were designed to manipulate Enron's financial statements; and (ii) the officers' breaches of duty resulted in the dissemination of financial information known to be materially misleading.⁵²⁹

As set out more fully in the Legal Standards Annex, an affirmative claim against Andersen for aiding and abetting Enron's officers in the breach of a fiduciary duty will exist if: (i) Andersen had actual knowledge of the wrongful conduct giving rise to breaches of fiduciary duty by Enron's officers; and (ii) Andersen gave substantial assistance to those officers, or "participated" in the breaches of fiduciary duty. As discussed in this Appendix and as summarized below, the evidence is sufficient to permit a fact-finder to conclude that Andersen had knowledge of and participated in the officers' breaches of fiduciary duty by:

- participating in the design and implementation of the transactions used to produce materially misleading financial statements;
- approving the accounting and disclosure of the transactions that Andersen knew had no purpose other than the manipulation of Enron's financial statements; and
- misleading the Enron Audit Committee about the effect of the transactions on Enron's financial statements.

⁵²⁹ Third Interim Report, Appendix C (Role of Enron's Officers), at 94.

Evidence Concerning Andersen's Role in Enron's Prepay Transactions

The Examiner has previously concluded that Enron's accounting for the Prepay Transactions violated GAAP and applicable SEC disclosure rules.⁵³⁰ The evidence further suggests that:

- Andersen participated in the planning and designing of the structure of the Prepay Transactions in order to assist Enron in achieving its accounting objectives by, among other things, designing a prepay "model."
- Andersen was aware that the information in its possession was insufficient to determine that Mahonia and Delta were substantive businesses.
- Andersen realized that a straightforward application of DIG Issue F6 would result in debt treatment, yet sought to rationalize a result favorable to its client that was strained and implausible.
- Andersen certified Enron's 1999 and 2000 financial statements despite the fact that Enron rejected Andersen's proposed disclosures (regarding the operating cash flow that came from the Prepay Transactions and the amount of its price risk management liabilities arising from the Prepay Transactions).
- Andersen failed to determine that the Audit Committee was aware of the magnitude and nature of the risks inherent in the accounting and disclosure judgments with respect to the Prepay Transactions, but rather misled the Audit Committee with respect to the risk involved.

Evidence Concerning Andersen's Role in Enron's FAS 140 Transactions

The evidence indicates that Andersen had deep involvement in the creation and subsequent modification of the FAS 140 Transaction technique. As previously reported by the Examiner, Enron's accounting for the FAS 140 Transactions did not comply with

⁵³⁰ See Second Interim Report, Appendix B (Accounting Standards); see also Second Interim Report, Appendix E (Prepay Transactions).

GAAP. For instance, in the First Interim Report,⁵³¹ the Examiner determined that Enron's accounting treatment of the Total Return Swaps violated FAS 105, because under that Financial Accounting Standard, Enron was required to disclose the face contract or notional amount of the Total Return Swaps, and the terms and nature of those instruments, including cash requirements. Andersen accountants were aware of the specific obligations incurred by Enron and its affiliates under the Total Return Swaps. They also understood that Enron was not providing the detailed information described in FAS 105. Moreover, Andersen erred in its acceptance of "true issuance" opinions rather than "true sale" opinions, because the "true issuance" opinions were inadequate to support a finding of legal isolation of financial assets from the Sponsor in these transactions. As the Examiner determined in the First Interim Report, in many of the FAS 140 Transactions, the financial assets were not legally isolated. When Andersen discovered in 2001 that it had not been obtaining the proper opinion, after Enron had completed numerous FAS 140 Transactions resulting in at least \$647 million in net income and \$2.6 billion in cash flow recognition from 1998 through 2000, the evidence suggests that Andersen couched its new requirement for a true sale opinion as emanating from newly effective FAS 140, although Andersen knew that was not the case.

Andersen accountants routinely consulted with each other and with Enron about the structure to be employed in FAS 140 Transactions and specific challenges presented by individual transactions. Evidence indicates that Andersen helped fashion and revise the structure of Enron's FAS 140 Transactions, and that key Andersen accountants understood that the FAS 140 Transactions were, in substance, loans. The evidence

⁵³¹ See First Interim Report, at 54-57.

further suggests that Andersen accountants understood that Enron purposely did not account for the transactions as loans in their GAAP financial statements.

Evidence Concerning Andersen's Role in Enron's Non-Economic Hedges

Andersen has acknowledged that Enron's accounting for the Rhythms hedge was improper because Swap Sub should have been consolidated with Enron due to the insufficiency of Swap Sub's equity. Even if LJM1 had provided sufficient equity, because LJM1 was a related party, that equity could not be counted toward the 3% Equity Test. Finally, the Rhythms hedge disclosure in footnote 16 of Enron's 1999 financial statements (and in footnote 8 to its June 30, 1999 interim statements) violated the GAAP disclosure provisions of FAS 57 and did not comport with the conclusions in Andersen's related audit memorandum. Those disclosures do not describe the non-economic nature of the hedging transaction pursuant to which Enron recognized \$95 million of income, nor do they reveal that such income did not represent any possible economic benefit to Enron. Such disclosures are required by FAS 57.

The evidence reveals that Andersen was thoroughly aware of the facts of the transaction. Accordingly, a fact-finder could conclude that Andersen knew that the transaction had no economic substance. Although it recognized that the nature of these transactions was required to be disclosed pursuant to FAS 57, Andersen reviewed the related party footnote and concluded that the financial statements were in accordance with GAAP in all material respects. Moreover, although Andersen identified related party transactions as an area of accounting and disclosure risk in its SAS 61 presentation to the Audit Committee on February 7, 2000, it did not determine that the Audit Committee was informed about the non-economic nature or magnitude of this

transaction. Likewise, Andersen was aware that, like Rhythms, the Raptor transactions lacked economic substance. Similarly, the use of LJM2 equity in the Raptors to avoid consolidation as well as the failure to provide adequate FAS 57 disclosure were GAAP violations.

Evidence Concerning Andersen's Role in Enron's Tax Transactions

The Examiner has previously concluded that Enron's accounting for the Tax Transactions violated GAAP. In addition, the evidence indicates that Andersen:

- relied on a strained analogy to APB 16 and used an unprecedented amortization methodology in the REMIC Carryover Basis Transactions to approve Enron's reporting of the potential benefit of speculative future tax deductions in an erroneous and misleading manner as pre-tax income;
- relied on interpretations of FAS 109 in Enron's Tax Basis Step-Up Transactions that permitted Enron to create accounting benefits in violation of the literal accounting requirements and that had a misleading impact on Enron's reported GAAP income;
- permitted Enron to record the accounting benefits of the Tax Transactions even though the transactions had no bona fide business purpose other than the creation of GAAP income; and
- permitted Enron to record the accounting benefits of the Tax Transactions without specific disclosure in Enron's financial statements.

Evidence Concerning Andersen's Role in the Nahanni Transaction

The evidence indicates that Andersen played a significant role in Enron's accounting for its Minority Interest Transactions. As previously noted, the purpose of the Minority Interest Transactions was to structure particular obligations so that they appeared as "minority interest" in the mezzanine of Enron's balance sheet, rather than as liabilities. While the typical Minority Interest structure itself was relatively

straightforward, Enron officers used the structure in ways that resulted in financial reporting that was materially misleading.

In the Nahanni Transaction, Enron officers obtained \$500 million in a financing that closed on December 29, 1999, \$485 million of which was repaid on January 14, 2000. Enron reported the cash generated by this financing as cash flow from operating activities. Evidence indicates that Andersen had a substantial involvement in the Nahanni Transaction. A fact-finder could conclude that, before the publication of Enron's 1999 audited financial statements, Andersen accountants understood that Nahanni was designed to achieve a \$500 million increase in cash flow before the end of 1999, and a repayment of debt within days thereafter, all with no material economic effect on Enron.

Conclusion Regarding Andersen's Role in Enron's SPE Transactions

Based on the foregoing, a fact-finder could conclude that Andersen was negligent, and aided and abetted Enron officers in their breaches of duty, in connection with the SPE Transactions.

Evidence Concerning Andersen's SAS 61 Communications

There is sufficient evidence for a fact-finder to conclude that, beginning at least with Enron's 1998 financial statements, Andersen identified "highly structured transactions," and mark-to-market of commodity positions and fair value of merchant investments as involving accounting judgments and disclosure judgments that had a high "risk profile." At the same time, it does not appear that Andersen described to the Enron Audit Committee:

- the magnitude or materiality of these high risk judgments in terms of Enron's income, operating cash flow or financial position;

- the specific transactions that were within these risk categories, or the nature of the accounting judgments and disclosure judgments that were required in any specific instance;
- that the transactions identified as presenting high accounting and disclosure risk resulted in financial statements that did not faithfully represent the underlying substance of Enron's financial condition, results of operations and cash flow; or
- the fact that the complexity and uncertainty of the accounting treatment arose not from the sophistication of Enron's business operations, but from the complexity of Enron's efforts to structure transactions to portray its income, cash flow and financial position in a manner materially more favorable than was economically the case.

Based upon this evidence, a fact-finder could conclude that Andersen failed in its professional responsibility under SAS 61 to discuss with the Enron Audit Committee: (i) the selection and use of accounting principles by Enron; (ii) the "quality, not just the acceptability"⁵³² of these principles; and (iii) the effect of using those principles on Enron's financial statements, including the impact of the use of those principles on the faithful representation of Enron's financial statements. Therefore, there is sufficient evidence for a fact-finder to conclude that Andersen was negligent in performance of its SAS 61 responsibilities, and that this negligence proximately caused Enron damages.

In addition, there is sufficient evidence for a fact-finder to conclude that Andersen affirmatively misled the Audit Committee into believing that the risky accounting judgments and disclosure judgments were attributable to the nature of Enron's business, rather than to the highly structured nature of transactions in which it was engaging in order to create net income or operating cash flow, or to move debt off Enron's balance sheet. Thus, there is sufficient evidence for a fact-finder to conclude that Andersen aided

⁵³² SAS 61, at § 11 (as amended by SAS 90, at § 1) (AU § 380.11).

and abetted Enron's officers' breaches of fiduciary duty by misleading the Audit Committee about Enron's true financial condition.

B. Arguments Against the Imposition of Professional Malpractice and Aiding and Abetting Liability

Introduction

Andersen could raise legal and factual defenses to claims brought by Enron for both professional malpractice and aiding and abetting breaches of fiduciary duty by Enron's officers. In addition to contending that Enron is unable to establish one or more essential elements of its claims, Andersen may contend that the wrongful acts committed by Enron's officers should be imputed to Enron. As discussed below, if the officers' wrongful conduct is imputed to Enron, then Enron's recovery may be barred or reduced by applicable comparative fault principles, including statutory proportionate responsibility and the doctrine of *in pari delicto*.

Enron's Comparative Fault as a Defense to Professional Malpractice

In response to a professional malpractice claim, Andersen might raise Enron's comparative fault as a defense against liability. For example, Andersen may present evidence that Enron officers were at fault for accounting for transactions in misleading ways, or evidence that the Enron's Audit Committee negligently performed its oversight duties.⁵³³

As explained in the Legal Standards Annex, in order to analyze whether Enron's fault should bar or reduce recovery by Enron from Andersen for malpractice (in

⁵³³ To the extent that Enron's officers are determined to have engaged in intentional (as opposed to negligent) misconduct, the availability to Andersen of a comparative fault defense to a malpractice claim brought by Enron will turn in the first instance on whether such officer misconduct is imputed to Enron itself. The relevant considerations regarding whether such imputation should occur are discussed in the Legal Standards Annex to this Appendix.

conducting its audits), a Texas court might consider only fault that interfered with Andersen's ability to conduct its audits in conformance with GAAS. Therefore, if Andersen raises a comparative fault defense against the Debtors (with regard to Andersen's audit failures), Andersen likely will have to show both that Enron was at fault and that this fault contributed to Andersen's inability to perform its audits in compliance with GAAS.

Andersen may have a stronger defense in those instances in which it could show that Andersen accountants were deceived by Enron's officers. For example, Andersen could offer evidence in defense of a claim that Andersen committed professional malpractice in connection with the FAS 140 Transactions. Evidence indicates that Enron's officers failed to inform Andersen regarding the existence of side arrangements that were inconsistent with the accounting chosen for the FAS 140 Transactions. Andersen accountants have testified that, had they known of these side arrangements, they would not have agreed with Enron's desired accounting for these transactions. Accordingly, a fact-finder could conclude that Enron's officers did not properly inform Andersen with regard to the FAS 140 Transactions and that this deception impaired Andersen from conducting its audits in accordance with GAAS.

On the other hand, a fact-finder could determine that, notwithstanding this evidence, and given its duties under GAAS to consider the risk of management fraud when determining the nature and extent of its audit procedures, Andersen was negligent in failing to take steps to learn of the existence of side agreements.⁵³⁴ Evidence indicates that Andersen did learn of facts suggesting the possible existence of three such

⁵³⁴ See SAS 82 (AU §316A).

agreements. Thus, the evidence indicates that Andersen accountants were aware of at least the possibility that side agreements inconsistent with Enron's accounting were being entered into between Enron officers and transaction parties and were aware of the extent to which Enron's overall financial presentation depended on satisfying the 3% Equity Test. Accordingly, a fact-finder could conclude that any failure by Enron's officers to inform Andersen of side agreements did not prevent Andersen from conducting its audits in accordance with GAAS and discovering the existence of the side agreements, thus preventing the harm to Enron.

Similarly, the failure of Audit Committee members to question Andersen concerning high risk accounting and disclosure judgments may have been negligent. However, this negligence would not excuse a failure by Andersen to determine that the Audit Committee was informed as required by SAS 61.

To the extent that Enron itself is determined by the fact-finder to bear responsibility for the harm caused by accounting malpractice committed by Andersen, Enron's recovery on a malpractice claim may be reduced or barred by applicable comparative fault principles, including statutory proportionate responsibility and the doctrine of *in pari delicto*. The manner by which such a bar or reduction would be determined is discussed in the Legal Standards Annex to this Appendix.

Enron's Comparative Fault as a Defense to Aiding and Abetting Liability

Andersen may contend that deception by Enron's officers should bar or reduce recovery by Enron from Andersen on a claim for aiding and abetting breaches of

fiduciary duties.⁵³⁵ For example, Andersen may contend that Enron's officers acted fraudulently by manipulating GAAP accounting rules to report financial results that were materially more favorable than was actually the case and deceived Andersen with respect to material facts.

To the extent that Enron itself is determined by the fact-finder to bear responsibility for the harm caused by breaches of fiduciary duty by its officers, Enron's recovery may be reduced or barred by applicable comparative fault principles, including statutory proportionate responsibility and the doctrine of *in pari delicto*. The manner by which such a bar or reduction would be determined is discussed in the Legal Standards Annex to this Appendix.

C. Conclusion

Andersen has acknowledged material errors in connection with its professional services to Enron. In addition to the errors that Andersen has acknowledged, there is evidence that Andersen made other material accounting and auditing errors that contributed significantly to the misleading nature of Enron's financial reporting. The evidence reviewed by the Examiner, and the reasonable inferences that may be drawn from that evidence, are sufficient for a fact-finder to conclude that Andersen was negligent in the provision of its professional services to Enron. In addition, the evidence is sufficient for a fact-finder to conclude that Andersen aided and abetted certain Enron officers in breaching their fiduciary duties to Enron. To the extent that Enron itself is determined by the fact-finder to bear responsibility for the misconduct of its officers,

⁵³⁵ The availability to Andersen of such a defense will turn in the first instance on whether such misconduct by Enron's officers is imputed to Enron itself. The relevant considerations regarding whether such imputation should occur are discussed in the Legal Standards Annex to this Appendix.

Enron's recovery for such claims may be reduced or barred by applicable comparative fault principles, including statutory proportionate responsibility and the doctrine of *in pari delicto*.

ANNEX 1 (Summary of Raptor Memoranda)

to

APPENDIX B

(Role of Andersen)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

Raptor Memo Summary

Summary of Raptor Memoranda¹

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
1	12/31/1999	LJM2 Partnership Structure	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson (uninitialed)	1) Is the minimum SPE capitalization requirement met to support non-consolidation of LJM2 with Enron? Yes. 2) Does the control structure support non-consolidation of the entity (LJM2) for Enron Corp. as a result of the related party relationship? Yes. 3) What are the necessary disclosures? Should disclose existence of LJM2, the related party that serves as GP, purpose of LJM2, nature of transactions with Enron, and gains/losses.	Carl Bass John Stewart (Odum, Swanson, Lowther) None (Odum, Swanson, Lowther) None (Odum, Swanson, Lowther)	AB0648 00593- AB0648 00606
1A	12/31/1999 amended 10/12/2001	LJM2 Partnership Structure	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	1) Is the minimum SPE capitalization requirement met to support non-consolidation of LJM2 with Enron? Yes. 2) Does the control structure support non-consolidation of the entity (LJM2) for Enron Corp. as a result of the related party relationship? Very upper limit of what may be acceptable. 3) What are the necessary disclosures? Should disclose existence of LJM2, the related party that serves as GP, purpose of LJM2, nature of transactions with Enron, and gains/losses.	Carl Bass John Stewart (Odum, Swanson, Lowther) None (Odum, Swanson, Lowther) None (Odum, Swanson, Lowther)	AA000012507- AA000012510
2	03/28/2000	Redesignation Criteria	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	Discusses use of redesignated earnings to capital at risk in an SPE. Criteria are described but not applied to an actual entity.	John Stewart	AB0648 01079- AB0648 01080

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
3	03/28/2000	Raptor Transaction	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	1) Does the structure of Talon meet minimum control requirements for SPE not to be consolidated with Enron? Yes. What are capitalization requirements? LJM2 capital (less GP's share) counted. 3% must be computed on notional amount of any derivative instruments. 2) How does Enron account for preferred LLC interest in Talon? Cost method rather than equity method or as a derivative. 3) How should Enron account for the cost of the purchased share-settled put option? Through equity and net income. 4) What is proper accounting for contingent forward sales contract? These are issued and outstanding shares for purposes of calculating EPS of Enron. 5) How will value of derivative transactions be substantiated? Independent appraisal or fairness opinion. 6) What is impact of Talon's credit worthiness on value of derivative instruments to Harrier? Value depends on Talon's credit capacity. 7) What are required Enron disclosures? Description of structure, purpose, and related party should be disclosed.	Carl Bass John Stewart Ben Neuhausen (Odom, Lowther)	AB0648 01051- AB0648 01058
3A	03/28/2000 amended 10/12/2001	Raptor Transaction	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	1) Does the structure of Talon meet minimum control requirements for SPE not to be consolidated with Enron? Yes. What are capitalization requirements? LJM2 capital (less GP's share) counted. 3% must be computed on notional amount of any derivative instruments. 2) How does Enron account for preferred LLC interest in Talon? Cost method rather than equity method or as a derivative.	John Stewart (Odom, Lowther)	AA-EX0179573- AA-EX0179580
					Carl Bass (Odom, Lowther)	

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
				3) How should Enron account for the cost of the purchased share-settled put option? Through equity and net income. 4) What is proper accounting for contingent forward sales contract? These are issued and outstanding shares for purposes of calculating EPS of Enron. 5) How will value of derivative transactions be substantiated? Independent appraisal or fairness opinion. 6) What is impact of Talon's credit worthiness on value of derivative instruments to Harrier? Value depends on Talon's credit capacity. 7) What are required Enron disclosures? Description of structure, purpose, and related party should be disclosed.	Ben Neuhausen (Odom, Lowther) Ben Neuhausen (Odom, Lowther) None (Odom, Lowther) John Stewart Carl Bass (Odom, Lowther) None (Odom, Lowther)	
4	07/28/2000	LJMII Governance	Dave Duncan Patty Grutzmacher Jennifer Stevenson	LJM2 has made amendments to strengthen argument that LJM2 is independent from Enron, including a right to remove the GP upon 66 2/3% vs. 75% vote.	Carl Bass	AA-EX0179611
5	07/31/2000	Raptor 2 Transaction	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	Raptor 2 is a proper transaction because it is analogous to Raptor 1.	None	AB0648 00443- AB0648 00446

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
6	11/09/2000	Raptor 3 Transactions	Dave Duncan Deb Cash Jennifer Stevenson Patty Grutzmacher	Raptor 3 is like other Raptors except the Note from Porcupine to Pronghorn in exchange for Class B Member Interest (99.99% economic interest of EES Warrant Trust) does not qualify for FAS 125 treatment and is treated as a retained interest with 0 carrying value.	Jim Green	AB0648 00399- AB0648 00402
6A	11/09/2000 amended 10/12/2001	Raptor 3 Transactions	Dave Duncan Deb Cash Jennifer Stevenson Patty Grutzmacher	Raptor 3 is like other Raptors except the Note from Porcupine to Pronghorn in exchange for Class B Member Interest (99.99% economic interest of EES Warrant Trust) does not qualify for FAS 125 treatment and is treated as a retained interest with 0 carrying value.	None	AB0648 00403- AB0648 00406
7	12/27/2000	Raptor 4 Transaction	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	Raptor 4 is analogous to Raptors 1 and 2.	None	AB0648 00452- AB0648 00455
8	12/28/2000	Raptor Structures Update	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	<i>AA concluded</i> that cross-collateralization of the Raptor structures pursuant to 45-day letter would allow Enron to benefit from the assets of each structure on an aggregate basis in assessing the credit capacity of the entities as of December 31, 2000.	Carl Bass John Stewart (Odom)	AB0648 00580- AB0648 00582
8A	12/28/2000 amended 10/12/2001	Raptor Structures Update	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	<i>Enron believes</i> that cross-collateralization of the Raptor structures pursuant to 45-day letter would allow Enron to benefit from the assets of each structure on an aggregate basis in assessing the credit capacity of the entities as of December 31, 2000. Since credit capacity test did not require impairment at year end, agreed to revisit.	Carl Bass gave advice, not necessarily concurred (Odom, Lowther)	AB0648 0577- AB0648 0579
9	05/09/2001	Raptor Transaction Update	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	Enron's assessment of Raptor credit capacity on an aggregate basis at 3/31/01 given assignments of distributions receivable by those Enron Raptor subs receiving distributions to those whose obligations were not satisfied is appropriate.	None (Odom, Lowther)	AA000001370- AA000001372

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
9A	05/09/2001 amended 10/12/2001	Raptor Transaction Update	Dave Duncan Deb Cash Patty Grutzmacher Jennifer Stevenson	Aggregation not appropriate based on cross- assignments, but no impairment "considering latitude allowed by FAS 114."	None (Odom, Lowther)	AA-EX0179587- AA-EX0179593
10	07/09/2001	Raptor Forwards	Chris Herbold Eric M. McKee (uninitialed)	Should Raptor pre-pay forwards be considered outstanding shares for EPS calculation? Yes.	None	AAWP0073349- AAWP0073350
11	07/17/2001	Enron-Review on Contingent Issuance Valuation Methodologies for Raptor Vehicles	Jitendra Sharma Scott Gallagher Terry Cheung (uninitialed)	Determination by Andersen's Financial and Risk Consulting Group that Enron's valuation theory and methodology in valuing Enron's contingent sale of Enron stock to the Raptors in March 2001 were reasonable.	None	AB0648 00235- AB0648 00236
12	08/31/2001	Enron Equity Instruments - Raptor Entities	David Duncan Deb Cash Kimberly Scardino	Reconfirm AA conclusions with respect to accounting for equity-related instruments Enron has with the Raptor entities.	Rick Petersen Ben Neuhausen	AB0648 00283- AB0648 00285
13	09/01/2001	Raptor Notes- Balance Sheet Reclass	Dave Duncan Deb Cash (uninitialed)	Correcting overstatement by the amount of certain Raptor Notes.	None (Odom, Lowther)	AACC0000110671

Memo #	Date	Title	Engagement Team Authors	Issues/Answer	PSG Consulted (Risk Management Accountants Concurring)	Bates #
14	10/15/2001	Enron-Raptor Entity Note Impairment	David Duncan Debra Cash	Andersen devises a three-step test to determine whether the Raptor Notes are impaired: 1. Determine for each Raptor if screen price of assets is less than recorded amount of notes and derivative investments. If no, no impairment. If yes, go to step 2. 2. Use Monte Carlo analysis to determine if there is a 25% chance of payment on April 18, 2003 due date. If yes, no impairment. If no, go to step 3. 3. Compute impairment based on best estimate of recovery. Using this method, but not permitting aggregation, Andersen determined that no impairments had to be recorded.	Stewart, Petersen, Neuhausen, Repepi (approval of 3-step method to Note impairment calculation only) (Goddard, Swanson, Odom, Lowther, Corgel, Geron, Goolsby, and Rieger concurred in application of method to Raptors generally)	AB0648 00306- AB0648 00316
15	10/18/2001 (draft)	Enron-Credit Reserve Adjustment	Dave Duncan Deb Cash (uninitialed)	Does valuation of creditworthiness of Raptor vehicles affect Enron's credit policy? Not material enough to require restatement.	None (Swanson, Odom, and Lowther)	AAC000010667- AAC000010668

¹ Except as indicated above, each memo is initialed by its engagement team authors indicating that it was a final memo and part of the Andersen Enron workpapers. There were numerous uninitialed prior drafts of a number of the final memos.

ANNEX 2 (Legal Standards Applicable to Andersen)

to

APPENDIX B

(Role of Andersen)

to

**FINAL REPORT OF NEAL BATSON,
COURT-APPOINTED EXAMINER**

TABLE OF CONTENTS

I.	INTRODUCTION	1
II.	CHOICE OF LAW	3
III.	LAW APPLICABLE TO CONDUCT OF ENRON'S ACCOUNTANTS	4
	A. Introduction.....	4
	B. Accountant Malpractice	5
	C. Aiding and Abetting a Breach of Fiduciary Duty.....	14
	D. Defenses	16
IV.	CONCLUSION.....	28

I. INTRODUCTION

In the Third Interim Report, the Examiner stated that there is sufficient evidence from which a fact-finder could conclude that: (i) certain senior officers of Enron breached their fiduciary duties under applicable law by causing the Debtors to enter into SPE transactions that were designed to manipulate the Debtors' financial statements and that resulted in the dissemination of financial information known by those officers to be materially misleading; and (ii) these wrongful acts caused direct and foreseeable harm to Enron itself, and resulting harm to innocent parties that dealt with Enron, including creditors in the Bankruptcy Case.

Enron's accountant, Andersen, had an important role in these SPE transactions and in the disclosure of Enron's financial information. This Annex 2 to Appendix B (Role of Andersen) analyzes the law applicable to Enron's potential claims against Andersen for its role in these SPE transactions and Enron's dissemination of misleading financial information. Andersen may be liable to Enron because either: (i) Andersen breached the standard of care that an accountant owes to its client (accountant malpractice); or (ii) Andersen aided and abetted a breach of fiduciary duty by one or more of Enron's officers. Andersen, however, may assert defenses to these claims. In addition to contending that Enron is unable to establish one or more essential elements of its claims, Andersen may contend that the wrongful acts committed by Enron's officers should be imputed to Enron. As discussed below, if the officers' wrongful conduct is

imputed to Enron, then Enron's recovery may be barred or reduced by applicable comparative fault principles, including the doctrine of *in pari delicto*.¹

¹ See Third Interim Report, Appendix B (Legal Standards), *Standing Issues*. As noted in the Third Interim Report and the Defenses section below, Texas law generally applies a comparative fault affirmative defense to bar recovery by plaintiffs who engaged in wrongful conduct, rather than the standing analysis set out in *Shearson Lehman Hutton, Inc. v Wagoner*, 944 F.2d 114 (2d Cir. 1991). However, if a New York court applied Oregon law to an aiding and abetting breach of fiduciary duty claim, Andersen may be able to assert that Enron lacks standing. *See id.*

II. CHOICE OF LAW

Andersen personnel, working out of Andersen's Houston office, provided most of the audit and consulting services at issue to Enron personnel located in Houston. Enron is domiciled in Texas. Texas "applies the 'most significant relationship' test from the Restatement (Second) of Conflicts, §§ 6 and 145" to determine the choice of law to apply to tort claims such as accountant malpractice and aiding and abetting the breach of fiduciary duties.² In a case brought by Enron against Andersen in a Texas court,³ under the most significant relationship test, it is likely that Texas law will apply, because most (though by no means all) of the services that Andersen provided to Enron were provided by Andersen personnel in the State of Texas.

² *Thomas v. N.A. Chase Manhattan Bank*, 994 F.2d 236, 241 (5th Cir. 1993).

³ If Andersen were sued in a court sitting in New York, the choice of law question could be complicated with respect to a claim for aiding and abetting a breach of fiduciary duty, as there is a split of authority among the New York courts regarding whether such claims are governed by the "internal affairs doctrine" (which would result in Oregon law governing) or the "significant contacts" rule (which would result in Texas law governing). Courts in both Texas and Oregon have recognized a claim for aiding and abetting a breach of fiduciary duty. See Third Interim Report, Appendix B (Legal Standards).

III. LAW APPLICABLE TO CONDUCT OF ENRON'S ACCOUNTANTS

A. Introduction

An accountant may be liable to a client for: (i) failing to exercise the degree of care, skill and competence that reasonably competent members of the accounting profession would exercise under similar circumstances, thereby committing malpractice; or (ii) aiding and abetting the client's officers in committing breaches of their fiduciary duties. In order to prevail on such a claim for aiding and abetting, a plaintiff must show that the accountant knew of the facts giving rise to the breaches of fiduciary duty by the client's officers and that the accountant gave substantial assistance to such officers.

An accountant may assert certain defenses to both of these claims. As discussed below, with respect to claims of professional malpractice or aiding and abetting the breach of fiduciary duties, an accountant may contend that the client's comparative fault bars or reduces recovery by the client from the accountant. If wrongful conduct of Enron's officers is imputed to Enron, then Enron's recovery may be barred or reduced by applicable comparative fault principles, such as statutory proportionate responsibility or the doctrine of *in pari delicto*.

Both of these potential comparative fault defenses require consideration of whether and what conduct by the client's officers may be imputed to the client itself. With respect to negligent acts of the corporation's officers, this analysis is straightforward: Negligent acts of a corporation's agents acting within the scope of their employment are imputed to the corporation itself under well-settled principles of agency

law.⁴ With respect to intentional wrongdoing of a corporation's officers, however, the question is more complex. As discussed below, Texas law provides that such wrongful conduct of a corporation's officers will be imputed to the corporation if that conduct was undertaken *on behalf of* the corporation, but will not be imputed to the corporation if undertaken *against* the corporation. This is a fact-intensive analysis dependent upon all of the relevant circumstances.

B. Accountant Malpractice

Elements of an Accountant Malpractice Claim

Most Texas decisions treat accountant malpractice claims as negligence claims.⁵ Accountants may be liable to their clients for negligent acts committed in the course of rendering professional services.⁶ Under Texas law, the elements of a professional negligence claim are: (i) a legal duty; (ii) breach of that duty; (iii) proximate cause; and (iv) damages.⁷ Accountants owe their clients "a duty to exercise the degree of care, skill and competence that reasonably competent members of their profession would exercise under similar circumstances."⁸ In order to recover for the breach of this duty, a plaintiff must show that the breach was the proximate cause of plaintiff's injuries.⁹ Usually, a plaintiff must introduce expert testimony regarding the professional standard of care

⁴ See, e.g., *Agristor Credit Corp. v. Donahoe*, 568 S.W.2d 422, 426 (1978) (recognizing the "rule of law that the negligence, inadvertence, or mistake of the agent is imputed to the principal").

⁵ See, e.g., *Deloitte & Touche v. Weller*, 976 S.W.2d 212, 215 (Tex. App. 1998).

⁶ See *Greenstein, Logan & Co. v. Burgess Mktg., Inc.*, 744 S.W.2d 170, 185 (Tex. App. 1987).

⁷ See *id.*

⁸ *Id.* at 185.

⁹ See, e.g., *Sec. Investor Prot. Corp. v. Cheshier & Fuller, L.L.P. (In re Sunpoint Sec., Inc.)*, 262 B.R. 384, 398 (Bankr. E.D. Tex. 2001).

applicable to the circumstances, as well as breach of that standard and causation of damages.¹⁰

Breach of the Professional Duty

Whether an accountant exercised the degree of care, skill and competence that reasonably competent members of the accounting profession would exercise under similar circumstances is normally determined by reference to generally accepted accounting principles (“GAAP”) and generally accepted auditing standards (“GAAS”).¹¹ Usually, an accountant satisfies his or her professional duties by complying with GAAP and GAAS.¹² “GAAP are those principles recognized as appropriate in the recording, reporting, and disclosing of financial information.”¹³ GAAP “includes not only broad guidelines of general application, but also detailed practices and procedures.”¹⁴ GAAP is a technical term; it includes the conventions, rules and procedures that define acceptable accounting practices. GAAP provides the standards for determining a company’s assets, liabilities, revenues, expenses, net income or net loss and sources and uses of money. The ultimate goal of GAAP is the provision of financial information that is relevant, reliable, and useful.¹⁵

¹⁰ See *id.*

¹¹ In the securities fraud context, courts have held that “[g]eneral allegations that a defendant violated GAAP or generally accepted auditing standards (“GAAS”) are inadequate to support a claim under Rule 10b-5.” *Graham v. Taylor Capital Group, Inc. (In re Reliance Sec. Lit.)*, 91 F. Supp. 2d. 706, 726 (D. Del. 2000).

¹² *Goss v. Crossley (In re Hawaii Corp.)*, 567 F. Supp. 609, 617 (D. Haw. 1983) (“Compliance with GAAP and GAAS, however, will not immunize an accountant when he consciously chooses not to disclose on a financial statement a known material fact.”).

¹³ *Id.* at 618.

¹⁴ SAS 69, at § 411.02 (AU § 411.02).

¹⁵ See Second Interim Report, Appendix B (Accounting Standards).

GAAS sets forth the accepted standards of practice for auditors in planning and performing audits to determine that the financial statements of a company are in compliance with GAAP.¹⁶ Many of these standards are set forth explicitly in the accounting literature, in particular the Statements on Auditing Standards (“SASs”) promulgated by the American Institute of Certified Public Accountants (“AICPA”). An auditor’s good faith compliance with its duties under GAAS generally discharges the auditor’s professional duty to act with reasonable care in planning and performing an audit.¹⁷ These GAAS duties include not only the duty to conduct appropriately designed audit tests, but also the duty to “determine that the audit committee is informed about the methods used to account for significant unusual transactions and the effect of significant accounting policies in controversial or emerging areas for which there is a lack of authoritative guidance or consensus.”¹⁸ Additionally, GAAS requires the auditor to have an “open and frank” discussion with the client’s audit committee concerning the “quality, not just the acceptability, of the entity’s accounting principles as applied in its financial reporting.”¹⁹

A review of reported decisions reveals few cases analyzing whether an accountant has breached the applicable standard of care in determining how to account for a given transaction in accordance with GAAP, i.e., in determining what GAAP requires the

¹⁶ See *United States v. Arthur Young & Co.*, 465 U.S. 805, 811 (1984); *Greenstein*, 744 S.W.2d at 185; *Monroe v. Hughes*, 31 F.3d 772, 774 (9th Cir. 1994); see also *Bankr. Servs., Inc. v. Ernst & Young (In re CBI Holding Co.)*, 247 B.R. 341, 348-49 (Bankr. S.D.N.Y. 2000).

¹⁷ See *Monroe*, 31 F.3d at 774; *Greenstein*, 744 S.W.2d at 185; *In re CBI Holding Co.*, 247 B.R. at 362.

¹⁸ SAS 61, at § 380.07 (AU § 380.07).

¹⁹ SAS 90, at § 380.11 (AU § 380.11) (effective for audits of financial statements for periods ending on or after December 15, 2000).

accounting to be for a given transaction or event. Instead, the vast majority of accounting malpractice cases concern allegations that an auditor has violated the applicable standard of care for failing to detect relevant facts. However, the available case law suggests that allegations of negligence in determining the accounting treatment required by GAAP, under circumstances in which experts disagree, create issues of fact for the fact-finder.²⁰

In *Goss v. Crossley (In re Hawaii Corp.)*, the plaintiff was a trustee in a Chapter X Reorganization of The Hawaii Corporation (“THC”).²¹ The plaintiff sought to recover damages from the defendant accounting firm alleging that the firm had acted negligently in selecting the method of accounting to be applied to a merger between THC and another company, American Pacific Group (“APG”).²² Specifically, the plaintiff alleged that the defendant should have applied the “purchase” accounting method to the merger rather than the “pooling of interests” method.²³ According to the plaintiff, the decision to use “pooling of interests” accounting was a negligent GAAP violation.²⁴ The plaintiff further alleged that had the proper method of accounting been applied to the transaction, the relevant financial facts would have been clear, and the merger would not have occurred.²⁵

²⁰ See *Goss*, 567 F. Supp. at 622 (concluding that the plaintiff failed to prove by a preponderance of the evidence that the defendant was negligent in selecting the method of accounting to be applied to a merger).

²¹ See *id.* at 611.

²² See *id.*

²³ See *id.*

²⁴ See *id.* at 618-19.

²⁵ See *id.* at 617.

Prior to trial, both parties filed for summary judgment. The trial court reserved ruling on the motions and held a bench trial.²⁶ At the bench trial, both the plaintiff and the defendant offered expert testimony as to the proper method of accounting, and as to whether the “purchase” or “pooling of interests” method was more appropriate under GAAP.²⁷ Plaintiff’s experts and defendant’s experts were in complete disagreement as to the accounting method that GAAP required to be applied to the merger.²⁸

After the bench trial, the court considered and denied the motions for summary judgment and found in favor of the defendant as a matter of fact.²⁹ If the reasoning of *Goss* is followed by a court applying Texas law, the issue of whether an accountant is negligent in the application of a GAAP principle to a set of facts becomes a question for the fact-finder if both the plaintiff and the defendant produce qualified expert testimony on the question.

Similarly, in the securities law context, the district court in *Clark v. Cameron-Brown Co.*,³⁰ denied summary judgment to a defendant accounting firm on a securities law misrepresentation claim when both the plaintiffs and the accounting firm came forward with expert testimony on the question of whether the accounting treatment approved for certain commitment fees was appropriate. As the court explained: “The

²⁶ See *id.* at 612.

²⁷ See *id.* at 619.

²⁸ See *id.*

²⁹ See *id.* at 612, 622. Based on the evidence at trial, the court found for the defendant, because the plaintiff failed to prove, by a preponderance of the evidence, that the defendant was negligent in its selection of the method of accounting for the merger. In reaching this conclusion, the court emphasized that at the time of the merger, GAAP provided no clear answer to the question of which accounting method should be applied. See *id.* at 622.

³⁰ *Clark v. Cameron-Brown Co.*, No. C-75-65-G, 1980 WL 1416 (M.D.N.C., June 16, 1980).

parties' experts differ on whether commitment fees were properly included as income in the period in which received When a fact finder is called upon to resolve 'differing versions of the truth,' it is evident that summary judgment is inappropriate and the case must proceed to trial."³¹

A review of the case law reveals that most accounting malpractice cases do not deal with questions concerning the proper application of accounting principles, such as the ones at issue in *Goss* and *Clark*. Instead, most reported cases deal with alleged GAAS violations that lead to audit failures, i.e., typically in the context of a failure by the auditor to detect the relevant facts. The following cases illustrate circumstances in which auditors have failed to exercise the requisite degree of care, skill and competence as defined by GAAS.

In a case arising in Texas, *Greenstein, Logan & Co. v. Burgess Marketing, Inc.*,³² the plaintiff sued the defendant accounting firm for professional malpractice, alleging that the defendant failed to perform audits in accordance with GAAS. At trial, expert witnesses established that GAAS set forth the standard of care and skill required of reasonably competent certified public accountants in the performance of audits,³³ and how the defendants had departed from GAAS.³⁴ Specifically, the expert testimony established that a tax delinquency would have been easily discovered during the audits if

³¹ *Id.* at 3; *cf. Graham v. Taylor Capital Group, Inc. (In re Reliance Sec. Litig.)*, 91 F. Supp. 2d 706, 727 (D. Del. 2000) (denying a motion to dismiss Rule 10b-5 securities claim against an accounting firm and observing that, "by stating that the Company's financial disclosure statements were in compliance with GAAP, [the defendant] may have made accounting judgments that no reasonable accountant would have made if confronted with the same facts").

³² 744 S.W.2d 170 (Tex. App. 1987).

³³ *See id.* at 185.

³⁴ *See id.*

the defendant had adhered to GAAS.³⁵ The court held that expert evidence was both legally and factually sufficient to support the finding that the failure to perform the audits in accordance with GAAS was negligence.³⁶

In *Bankruptcy Services, Inc. v. Ernst & Young (In re CBI Holding Co.)*,³⁷ Ernst & Young (“E&Y”) was held liable for malpractice.³⁸ In particular, the court found that E&Y was negligent in failing to detect unrecorded liabilities of almost \$2 million, an amount which was material, and which meant that the audited financial statements did not fairly present, in all material respects, the financial condition of CBI Holding Co. (“CBI”) and the results of CBI’s operations and cash flow in accordance with GAAP.³⁹ The court described several requirements of GAAS that it found that E&Y did not meet, including: (i) that the auditor approach the audit with an appropriate degree of skepticism;⁴⁰ (ii) that the auditor maintain an independence in mental attitude;⁴¹ and (iii) that the auditor design the audit to provide reasonable assurance of detecting errors and irregularities in the financial statements.⁴²

³⁵ See *id.*

³⁶ See *id.* at 185-86; see also *In re Sunpoint Sec., Inc.*, 262 B.R. at 400 (holding that the plaintiffs sufficiently alleged a breach of the duty of care; plaintiffs alleged that defendants failed to properly audit the liabilities of the company, failed to properly calculate net capital, failed to accurately present the financial condition of the company, failed to confirm material balances in custodial accounts, and failed to investigate and present liabilities).

³⁷ 247 B.R. 341 (Bankr. S.D.N.Y. 2000). This Annex includes accountant malpractice cases from jurisdictions other than Texas, because these cases illustrate GAAS violations. Although not binding in Texas, these and other cases might provide persuasive authority to a court applying Texas law.

³⁸ See *id.* at 362.

³⁹ See *id.* at 361-62.

⁴⁰ See *id.* at 349.

⁴¹ See *id.* at 363.

⁴² See *id.*

E&Y claimed that its failure to comply with GAAS was excused because “certain members of CBI management intentionally withheld from E&Y the invoices in respect of the unrecorded liabilities.”⁴³ The court rejected this argument, reasoning that GAAS requires an auditor to design the audit to provide reasonable assurance of detecting errors and irregularities in the financial statements.⁴⁴ According to the court, “irregularities” are defined as “intentional misstatements or omissions of amounts or disclosures in financial statements.”⁴⁵ Citing to SAS 19,⁴⁶ the court noted that “management representations ‘are not a substitute for the application of those auditing procedures necessary to afford a reasonable basis for the accountant’s opinion on the financial statements.’”⁴⁷

As illustrated by the foregoing overview of selected case law, accountants breach their professional duties when they fail to “exercise the degree of care, skill and competence that reasonably competent members of their profession would exercise under similar circumstances.”⁴⁸ The issue of whether accountants have complied with their

⁴³ *Id.* at 355.

⁴⁴ *Id.*

⁴⁵ *Id.* (citing GAAS, AU § 316.03).

⁴⁶ Client Representations, Statement on Auditing Standards No. 19 (American Institute of Certified Public Accountants 1977) (“SAS19”). SAS 19 was replaced by SAS 85 in November 1997. See Management Representations, Statement on Auditing Standards No. 85 (American Institute of Certified Accountants 1997) (AU § 333).

⁴⁷ 247 B.R. at 355; see also *Curtis Packaging Corp. v. KPMG, LLP*, No. CV-99-0156558-3, 2002 WL 31015828, at *2 (Conn. Super. Ct. July 31, 2002) (finding KPMG negligent in the performance of its professional duties when it failed to detect an ongoing scheme of an outsourced payroll service that stole approximately \$2.5 million over several years and holding that “[w]hether KPMG met the GAAS obligations is dispositive of the case”); *Sharp Int’l Corp. v. KPMG LLP (In re Sharp Int’l Corp.)*, 278 B.R. 28, 34 (Bankr. E.D.N.Y. 2002) (refusing to dismiss complaint against KPMG that alleged GAAS violations related to the failure to uncover the fraudulent scheme of the client’s CEO and CFO, including allegations that “KPMG allegedly failed to gather sufficient competent evidential matter to support the financial statements, its audit reports, and its unqualified opinions regarding Sharp’s financial statements, and KPMG also allegedly failed to exercise the requisite skepticism throughout the auditing process”).

⁴⁸ *Greenstein*, 744 S.W.2d at 185.

duties is determined by reference to GAAP and GAAS, generally with the assistance of expert testimony.⁴⁹

Proximate Cause

To prove a claim for professional malpractice, a plaintiff must not only show duty and breach, but also demonstrate that the breach proximately caused the plaintiff's injuries.⁵⁰ Proximate cause consists of cause in fact and foreseeability.⁵¹ In the *Greenstein* case, discussed above, the Texas Court of Appeals held that "[a] certified public accountant should reasonably foresee that his failure to detect material errors or falsifications in a client's books during an audit will likely result in continued errors and falsifications."⁵² Similarly, while accountants should foresee that their clients will rely on their audits,⁵³ the actual knowledge of the client's employees regarding the true financial condition of the client raises issues of imputation and actual reliance.⁵⁴

⁴⁹ See *Goss*, 567 F. Supp. at 617; *Greenstein*, 744 S.W.2d at 185; *Clark v. Cameron-Brown Co.*, 1980 WL 1416, at *3.

⁵⁰ See *FDIC v. Ernst & Young*, 967 F.2d 166, 170 (5th Cir. 1992); *Resolution Trust Corp. v. Coopers & Lybrand*, 915 F. Supp. 584, 588 (S.D.N.Y. 1996). It should be noted that some of the same issues that arise in the context of an analysis of proximate cause may also arise in the context of an analysis of the affirmative defense of comparative fault.

⁵¹ See *Greenstein*, 744 S.W.2d at 186.

⁵² *Id.*

⁵³ See *id.* at 186-87 (holding that the jury could have found that the defendant accounting firm should have foreseen that the plaintiff-client would rely on the accuracy of the audits).

⁵⁴ See *FDIC v. Ernst & Young*, 967 F.2d 166, 170 (5th Cir. 1992) (observing that upon a showing that a corporate plaintiff's agent had knowledge as to the true financial condition of the company, the question arises as to whether this knowledge should be attributed, or "imputed" to the corporate plaintiff, thereby barring recovery from the accountant). This imputation analysis can arise in different contexts, such as reliance (for which the plaintiff would have the burden of proof) or the affirmative defense of comparative fault (for which the defendant would have the burden of proof). The imputation doctrine is discussed in further detail below, under the heading of "Defenses."

Typically, proximate cause is a question of fact for the fact-finder.⁵⁵ Even when the misconduct of another party is alleged to have intervened, the issue is generally for the fact-finder: “When the misconduct of the third party is a foreseeable consequence of the defendant’s inattentiveness, the misconduct generally is not considered an intervening act [that defeats a showing of proximate cause].”⁵⁶

C. Aiding and Abetting a Breach of Fiduciary Duty

In addition to a potential claim for malpractice, as discussed briefly below, several reported cases have held that accountants may be held liable to their corporate clients if they have aided and abetted an officer’s breach of fiduciary duty to the corporation.⁵⁷

In *Smith ex rel. Estates of Boston Chicken, Inc. v. Arthur Andersen L.L.P.*,⁵⁸ the plaintiff bankruptcy trustee alleged that Andersen aided and abetted the breach of fiduciary duties of the individual officer and/or director defendants, as follows:

[E]ach of the Professional Defendants acted in concert with the Individual Defendants to increase Boston Chicken’s insolvency by falsely and unlawfully misrepresenting the true financial condition of Boston Chicken, while at the same time concealing the Individual Defendants’ misconduct and breaches of fiduciary duty. In so doing, the Professional

⁵⁵ See *N. Am. Van Lines, Inc. v. Emmons*, 50 S.W.3d 103, 114 (Tex. App. 2001) (recognizing that proximate cause is a fact issue usually left to the jury).

⁵⁶ *Id.* at 115.

⁵⁷ As discussed in Appendix B (Legal Standards) to the Third Interim Report, the standard for aiding and abetting another’s breach of fiduciary duty under Texas Law is “knowing participation” in the breach. See *Lone Star Partners v. NationsBank Corp.*, 893 S.W. 2d 593, 601 (Tex. App. 1994). The standard adopted by Oregon for an aiding and abetting claim is “knowledge and substantial assistance” in the breach. See *Granewich v. Harding*, 985 P.2d 788 (Or. 1999). These standards for determining whether the defendant aided and abetted a breach of fiduciary duty seem to be similar. For that reason, the Examiner may refer to these standards interchangeably to describe the elements of aiding and abetting claims under Texas and Oregon law. In addition, since there are few reported cases concerning allegations that an accountant has aided and abetted the breach of fiduciary duty under Texas or Oregon law, this annex considers cases from other jurisdictions, as such cases likely would be instructive to a Texas or Oregon court considering the issues.

⁵⁸ 175 F. Supp. 2d 1180 (D. Ariz. 2001).

Defendants assisted the Individual Defendants in maintaining the facade of growth and solvency while allowing Boston Chicken to become more and more insolvent over time as the Company was increasingly encumbered with obligations, including publicly issued notes, that could not be repaid.⁵⁹

Andersen filed a motion to dismiss the estate's claims for breach of fiduciary duty and aiding and abetting a breach of fiduciary duty. The district court denied the accounting firm's motion to dismiss the aiding and abetting count.⁶⁰

In *Koken v. Steinberg*,⁶¹ the Insurance Commissioner of Pennsylvania, as liquidator of an insolvent insurance company, sued Deloitte & Touche, LLP ("Deloitte") for aiding and abetting breaches of fiduciary duty by the officers and directors of the insurance company. In essence, the plaintiff alleged that the company had been "looted" through a series of improper intercompany transactions. The plaintiff alleged details of the fiduciary duty breaches committed by the officers and directors, and that Deloitte had knowledge of the breaches of those duties. The plaintiff further alleged that Deloitte had rendered substantial assistance in aiding the breaches, causing damage to the company. Based on these allegations, the court refused to dismiss the aiding and abetting count of the complaint.⁶²

⁵⁹ See *id.* at 1191.

⁶⁰ *Id.* at 1201.

⁶¹ 825 A.2d 723 (Pa. Commw. Ct. 2003).

⁶² See also *Hendricks v. Grant Thornton*, 973 S.W.2d 348 (Tex. App. 1998) (sustaining claim against accounting firm for aiding and abetting a breach of fiduciary duty); *Curiale v. Peat, Marwick, Mitchell & Co.*, 630 N.Y.S.2d 996 (N.Y. App. Div. 1995) (reinstating jury verdict against accounting firm based on a claim of aiding and abetting fraud, based in part on evidence that: (1) its client insurance company had issued a press release reporting positive results and claiming falsely that the accounting firm had audited those results; and (2) that the accounting firm had taken no steps to correct the misrepresentations and had taken an active role in disseminating them).

D. Defenses

Introduction

This section considers two defenses to a claim for accounting malpractice: statutory proportionate responsibility and the equitable doctrine of *in pari delicto*, both of which are grounded upon comparative fault concepts. Because both of these potential defenses require consideration of whether and what knowledge and conduct by the client's officers may be imputed to the client itself, the discussion of these defenses is preceded by a discussion of relevant imputation principles.

Relevant Imputation Principles

For purposes of imputation analysis, the wrongful conduct of a corporation's officers may be divided into two categories: (1) negligent acts; and (2) intentional wrongdoing. With respect to negligent acts committed by a corporation's officers in the scope of their employment, the imputation analysis is straightforward. Under settled principles of agency law, these acts are imputed to the corporation as acts of the corporation itself.⁶³

With respect to acts of intentional wrongdoing, the analysis is considerably more complex. Under Texas law, the general rule is that intentional wrongdoing *on behalf of* a corporation is imputed to the corporation, while intentional wrongdoing *against* a corporation is not imputed to the corporation.⁶⁴ While this rule is easily stated, its application is more difficult. Indeed, as illustrated by the following cases, courts have

⁶³ See, e.g., *Agristor Credit Corp.*, 568 S.W.2d at 426 (recognizing the "rule of law that the negligence, inadvertence, or mistake of the agent is imputed to the principal").

⁶⁴ See, e.g., *FDIC v. Ernst & Young*, 967 F.2d 166, 171 (5th Cir. 1992)

sometimes reached arguably inconsistent results in determining what sort of intentional wrongdoing is on behalf of the corporation verses against the corporation.⁶⁵

In *Greenstein*, discussed above, the defendant accounting firm argued that the misconduct of the client's comptroller should be imputed to the client itself to defeat the client's malpractice claim. In support of this defense, the accounting firm emphasized the comptroller's admissions that he had intentionally underpaid taxes owed and then lied to the defendant during the audits.⁶⁶ Relying on this testimony, the defendant argued that the comptroller acted fraudulently, and that this fraud was imputed to the plaintiff.

The court of appeals rejected this argument, holding that even if the plaintiff's comptroller had acted fraudulently, the defendant could not automatically attribute this fraud to the plaintiff.⁶⁷ The court emphasized that only fraud *on behalf of* a corporation, which benefits the shareholders and harms creditors, could be imputed to a corporation.⁶⁸ The court held further that the defendant could not impute the comptroller's intentional acts to the plaintiff because it failed to establish, either as a matter of law or by favorable

⁶⁵ This analysis would have more utility if it focused in the first instance on whether the officer's conduct breached a duty owed the company, rather than whether the conduct was on behalf of or against the company. If the wrongdoing at issue concerns the breach of a fiduciary duty *owed the company*, then it would seem to follow as a matter of logical reasoning that this wrongdoing is "against the company" and should not be imputed to the company.

⁶⁶ See *Greenstein*, 744 S.W.2d at 190.

⁶⁷ See *id.*

⁶⁸ *Greenstein*, 744 S.W.2d at 190. Texas courts have also held that when an agent acts in part for its own benefit and for the benefit of its principal, the knowledge of the agent is imputed to the principal. See *Crisp v. Southwest Bankshares Leasing Co.*, 586 S.W.2d 610, 615 (Tex. App. 1979); see also *Askanase v. Fatjo*, 130 F.3d 657, 666 (5th Cir. 1997) (stating that in order for a plaintiff to avoid imputation, the plaintiff must show that the officers acted entirely for their own purposes).

factual findings on disputed facts, that the comptroller committed the fraud on behalf of the plaintiff.⁶⁹

On the facts of *Greenstein*, the court held that the evidence had raised factual issues as to the comptroller's motivation for underpaying the corporation's taxes and that the evidence was inconclusive as to whether the plaintiff's principal owner had even known about the tax delinquency.⁷⁰ In the appellate court's view, the evidence tended to show that the plaintiff was "grievously harmed" by the comptroller's fraud.⁷¹ Because the defendant had failed to resolve "these fact issues in its favor by appropriate jury findings or conclusive proof," the court held that the comptroller's misconduct should not be imputed to the plaintiff.⁷²

Similarly, in *Holland v. Arthur Andersen & Co.*,⁷³ the court declined to impute to the company the knowledge of certain of its officers.⁷⁴ The court agreed with the bankruptcy trustee that Andersen committed malpractice in failing to inform management of the company's true financial condition and that, as a result, the company remained in business past the point of insolvency.⁷⁵ Andersen contended that some members of

⁶⁹ *Greenstein*, 744 S.W. 2d at 191.

⁷⁰ *See id.* at 191. Although the court made no reference to the *Wagoner* Rule or to the "innocent decision-maker" exception to the *Wagoner* Rule, *see* Third Interim Report, Appendix B (Legal Standards), *Standing Issues*, the holding of *Greenstein* would appear to be consistent with the rationale for the innocent decision-maker exception. *Cf. FDIC v. Ernst & Young*, 967 F.2d at 171-172 (emphasizing that the *sole* shareholder and CEO engaged in the wrongful conduct). There are no Texas cases that consider whether the existence of an innocent decision-maker can be a bar to imputation, but the existing Texas law does not seem to preclude such a holding.

⁷¹ *Greenstein*, 744 S.W. 2d at 191.

⁷² *See id.*

⁷³ 469 N.E.2d 419 (Ill. App. Ct. 1984).

⁷⁴ *See id.* at 427.

⁷⁵ *See id.* at 428.

management were aware of the deteriorating financial condition, and that this knowledge should be imputed to the company. The court disagreed, holding that prolonging a company's existence beyond the point of insolvency does not benefit the company and that management's knowledge was therefore not subject to imputation.⁷⁶

In contrast, in *FDIC v. Ernst & Young*, the Court of Appeals for the Fifth Circuit imputed the knowledge of the plaintiff's CEO and sole shareholder to the plaintiff.⁷⁷ In *Ernst & Young*, the FDIC, in its capacity as assignee of a failed savings and loan (Western), brought a malpractice action against the defendant accounting firm, Ernst & Young.⁷⁸ The claims were related to audits of Western by E&Y's predecessor, Arthur Young. During the relevant period, Western's CEO, Woods, was Western's sole shareholder and controlled Western.⁷⁹ The FDIC alleged that Woods engaged in practices that made Western appear profitable on its books, when in fact it was unprofitable.⁸⁰

The district court granted summary judgment to the defendant.⁸¹ Affirming, the Fifth Circuit Court of Appeals explained that the case was essentially "a client case in which a client is suing its auditor."⁸² For that reason, the FDIC could only assert claims

⁷⁶ See *id.* at 427; see also *First Nat'l Bank v. Brumleve & Dabbs*, 539 N.E.2d 877 (Ill. App. Ct. 1989).

⁷⁷ *Ernst & Young*, 967 F.2d at 170 (discussing imputation and *in pari delicto* principles in the context of finding no reliance by plaintiff on defendant's audits).

⁷⁸ See *id.* at 169.

⁷⁹ See *id.* at 168.

⁸⁰ See *id.*

⁸¹ See *id.*

⁸² *Id.*

that Western could have asserted itself, and the FDIC was subject to any defenses to which Western would have been subject.⁸³

With respect to the malpractice claim, the court of appeals held that the FDIC had to prove that Western had relied on Arthur Young's audit.⁸⁴ Because the evidence showed clearly that Woods, the wrongdoing CEO and sole shareholder who had dominated the bank, had not relied on the audit, the court affirmed the grant of summary judgment in favor of the defendant.⁸⁵ The court explained that Woods had always been aware of the bank's true financial condition and had made false entries in the bank's records in an attempt to deceive the auditors and creditors.⁸⁶

In considering whether Woods' knowledge should be imputed to Western, the court stated the rule that if an employee acts fraudulently *against* its corporate employer, then that employee's knowledge is not imputed to the corporation.⁸⁷ Conversely, the court explained that fraud *on behalf of* the corporation benefits the shareholders of the corporation and injures outsiders, such as creditors, and that when fraud is committed for the benefit of the corporation, the benefiting shareholders cannot later escape responsibility for the fraud.⁸⁸ Applying this rule to the facts, the court held that the Woods' fraud benefited himself and harmed outsiders, such as creditors.⁸⁹ By serving

⁸³ See *id.*

⁸⁴ See *id.* at 170.

⁸⁵ See *id.*

⁸⁶ See *id.*

⁸⁷ See *id.*

⁸⁸ See *id.* (citing *Greenstein*, 744 S.W.2d at 190-91).

⁸⁹ See *id.*

himself, Woods benefited Western, because he was the *sole* shareholder and CEO.⁹⁰ For that reason, the court of appeals imputed Woods' knowledge and conduct to the bank.⁹¹ Because the knowledge of the true financial condition was imputed to the bank, the FDIC could not make out a cause of action for malpractice against the defendant.⁹²

As demonstrated above, the determination of whether a corporate officer's misconduct is *on behalf of* a corporation or *against* the corporation is a fact-intensive inquiry. Courts have taken arguably inconsistent positions in making this determination. For instance, some cases have suggested that when an officer does not steal from a corporation, but artificially inflates profits, then the fraud is *on behalf of* the corporation.⁹³ These cases suggest that the company and its shareholders benefit from such conduct, and that such conduct must be imputed to the corporation for that reason.⁹⁴

The analysis applied by these cases may be superficial, however, because a determination of whether misconduct inflating a company's financial position benefits shareholders depends on the time period on which the inquiry is focused.⁹⁵ While shareholders may benefit at the time the corporation appears profitable (before the unsound practices come to light), shareholders who do not sell their stock before the truth comes to light do not benefit later when the unsound accounting practices lead the

⁹⁰ *See id.*

⁹¹ *See id.*

⁹² *See id.*

⁹³ *See FDIC v. Shrader & York*, 991 F.2d 216, 225 (5th Cir. 1993); *Cenco Inc. v. Seidman & Seidman*, 686 F.2d 449, 454 (7th Cir. 1982).

⁹⁴ *See Shrader & York*, 991 F.2d at 225; *Cenco Inc.*, 686 F.2d at 454.

⁹⁵ *See Cenco Inc.*, 686 F.2d at 456 (observing that stockholders benefit from officer's committing fraud on behalf of the corporation even though the stockholders may not be "net beneficiaries, after the fraud is unmasked and the corporation is sued").

corporation into bankruptcy.⁹⁶ Accordingly, as discussed above, some cases have held that prolonging a company's existence beyond the point of insolvency does not benefit the company. These cases suggest that management's intentional misconduct in engaging in unsound accounting practices that inflate the company's financial position is not misconduct subject to imputation.⁹⁷

Comparative Fault. To the extent that an accountant-defendant is successful in imputing the wrongful conduct of its client's officers to the client itself, the accountant can rely on comparative fault principles to seek to reduce the client's recovery or to bar recovery altogether. As discussed below, these comparative fault principles apply to both intentional and negligent torts, and thus would have potential application to both accountant malpractice claims and claims for aiding and abetting a breach of fiduciary duty. In Texas, these comparative fault principles may be derived from two sources. First, they are embodied in a "Proportionate Responsibility" statute. Second, they are

⁹⁶ See *Greenstein*, 744 S.W.2d at 191 (holding that evidence tended to show that the comptroller's underpayment of taxes "grievously harmed" the company and that there should be no imputation).

⁹⁷ See *Holland*, 469 N.E.2d at 427; see also *First Nat'l Bank v. Brumleve & Dabbs*, 539 N.E.2d 877 (Ill. App. Ct. 1989). As noted in this Appendix B (Role of Andersen) to the Final Report, SAS 61 requires auditors "to ensure that the audit committee receives additional information regarding the scope and results of the audit that may assist the audit committee in overseeing the financial reporting and disclosure process for which management is responsible." SAS 61, at § 380.02 (AU § 380.02). Furthermore, auditors of public companies have a duty "to discuss with the audit committee the auditor[s'] judgments about the quality, not just the acceptability, of the company's accounting principles and underlying estimates in its financial statements." SAS 61, at § 380.11 (AU § 380.11). Therefore, auditors have a duty to their corporate clients to inform the clients' audit committees regarding the effects of high risk accounting techniques engaged in by management. See *id.* If imputation were to bar or reduce recovery in each instance in which corporate officers misuse such techniques to artificially improve reported financial results, then the auditor's duty under SAS 61 would be rendered less meaningful, even when the facts support a finding that the performance of this duty would have ended the wrongful conduct and the resulting harm to the company. It is at least questionable whether such a result would be consistent with sound public policy.

reflected in the equitable doctrine of *in pari delicto*.⁹⁸ Both of these sources of comparative fault principles are analyzed below.

Statutory Proportionate Responsibility. As mentioned above, Texas has enacted a “Proportionate Responsibility” statutory framework that applies to torts, including both intentional torts and torts grounded in negligence.⁹⁹ Under Texas law, “a claimant may not recover damages if his [or her] percentage of responsibility is greater than 50 percent.”¹⁰⁰ However, if a claimant is partially at fault, but does not bear more than 50% of the responsibility, then the claimant can recover.¹⁰¹ In that circumstance, the claimant’s recovery would be reduced pro rata by the percentage of the claimant’s responsibility.¹⁰²

There are no reported Texas cases applying the current version of the Texas Proportionate Responsibility statute in the context of professional malpractice by an accountant. However, under common law principles of contributory negligence (prior to enactment of the Proportionate Responsibility statute), the Texas Court of Appeals held

⁹⁸ As discussed below, it is not entirely clear whether and to what extent the Texas Proportionate Responsibility statute has displaced the *in pari delicto* doctrine

⁹⁹ See Tex. Civ. Prac. & Rem. Code Ann. §§ 33.001 – 002 (“Proportionate Responsibility”).

¹⁰⁰ Tex. Civ. Prac. & Rem. Code Ann. § 33.001.

¹⁰¹ See Tex. Civ. Prac. & Rem. Code Ann. § 33.012(a) (“If the claimant is not barred from recovery under Section 33.001, the court shall reduce the amount of damages to be recovered by the claimant with respect to a cause of action by a percentage equal to the claimant’s percentage of responsibility.”).

¹⁰² See *id.* The statute draws no distinctions based upon whether the claimant’s responsibility arises from negligent or intentional misconduct. Subject to certain exceptions, in the case of multiple defendants, any defendant bearing more than 50% of the responsibility is jointly and severally liable with his or her codefendants for the entirety of the damages that may be recovered by the claimant, whereas those codefendants with lesser responsibility are liable only for their proportionate share of the damages. See Tex. Civ. Prac. & Rem. Code Ann. § 33.013. But see *Mims v. Kennedy Capital Mgmt., Inc. (In re Performance Nutrition, Inc.)*, 239 B.R. 93, 112 (Bankr. N.D. Tex. 1999) (holding that “[p]arties who knowingly join a fiduciary in breaching his fiduciary duties are jointly and severally liable with that fiduciary,” but not mentioning the Texas Proportionate Responsibility statute).

in *Greenstein* that a client's negligence is only a defense when the negligence contributed to the auditor's failure to perform its duties.¹⁰³

In *Greenstein*, the plaintiff brought a suit for accounting malpractice against its former auditor, and the defendant contended on appeal that the plaintiff's contributory negligence should have barred the plaintiff's recovery.¹⁰⁴ Specifically, the defendant argued that the plaintiff's comptroller had negligently performed his duties.¹⁰⁵ Affirming the trial court, the appellate court rejected this defense.¹⁰⁶ The court explained that an accountant has a duty to comply with GAAS, while a client has a duty not to interfere with audits.¹⁰⁷ Examining authority in other states, the court of appeals adopted the rule that the defendant had to establish not only that the plaintiff had been negligent, but also that the plaintiff's negligence contributed to the accounting firm's failure to perform its audits in conformance with GAAS.¹⁰⁸

Although *Greenstein* was not decided under the current Proportionate Responsibility statute, the case has not been overruled, and its rule – that a client's negligence is only a defense when that negligence contributed to the auditor's failure to perform its duties – could be applied with equal force under the current Proportionate Responsibility regime.¹⁰⁹ Thus, a Texas court could adhere to the rule of *Greenstein* and

¹⁰³ See *Greenstein*, 744 S.W.2d at 190.

¹⁰⁴ See *id.* at 190.

¹⁰⁵ See *id.*

¹⁰⁶ See *id.*

¹⁰⁷ See *id.*

¹⁰⁸ See *id.*

¹⁰⁹ See *Steiner Corp. v. Johnson & Higgins*, 135 F.3d 684, 690 (10th Cir. 1998) ("We are convinced that under either a comparative or contributory negligence regime, the acts of the client in getting into the

only consider the plaintiff's fault that interfered with the auditor's ability to conduct its audits in conformance with GAAS, when determining the proportionate responsibility of the parties.

Assuming that the rule of *Greenstein* is applicable in the context of the current Texas Proportionate Responsibility statute, in determining a client's comparative responsibility in a professional malpractice case brought against an accountant, a Texas court should consider only conduct by the client that interfered with Andersen's ability to conduct its audits in apportioning fault among the responsible parties.

There are no Texas cases applying the Texas Proportionate Responsibility statute in the context of a claim for aiding and abetting the breach of a fiduciary duty. It is clear, however, that the statute applies to intentional torts.¹¹⁰ Accordingly, with respect to a claim by a corporation against an accountant for aiding and abetting a breach of fiduciary duty, if the underlying officer misconduct is imputed to the corporation, it appears that the Proportionate Responsibility statute would govern apportionment of the damages.

circumstances, which he employs the professional to remedy, may not be asserted to avoid liability for the professional's own subsequent negligence."'). However, in *Halla Nursery, Inc. v. Baumann-Furrie & Co.*, 454 N.W.2d 905, 910 (Minn. 1990), the Supreme Court of Minnesota did not apply this rule to a malpractice claim against an accounting firm for failing to discover embezzlement by the client's bookkeeper. The court noted that courts in some jurisdictions, including Texas and New York, had adopted the rule that the negligence of the client is only a defense when it has contributed to the accountant's failure to perform its duties. *See id.* at 908. The court also noted that this rule had "been considered by commentators to be the better rule on policy grounds." *See id.* at 908. Nevertheless, the court stated that Minnesota had a broad, expansive doctrine of comparative fault and held that the trial court did not err in taking into consideration the client's relative fault in determining the comparative fault of the parties. *See id.* at 909. At the same time, the court stated that there could be a case for which "a limiting exception might be necessary, for example, where the scope of employment is such that discovery of defalcations is clearly encompassed." *Id.*

¹¹⁰ *See* Tex. Civ. Prac. & Rem. Code Ann. § 33.002 ("Except as provided by Subsections (b) and (c), this chapter applies to any cause of action based on tort . . ."); *see also Burlington N. Ry. Co. v. General Projection Sys., Inc.*, No. 05-97-00425-CV, 2000 Tex. App. LEXIS 5253, at *39 n.9 (Tex. App. Aug. 8, 2000) (unpublished).

Specifically, if the client's own (imputed) wrongful acts caused the client to bear more than 50% of the responsibility, the client's recovery would be barred altogether, whereas if the client's wrongful acts caused the client to bear a lesser proportion of the responsibility, the client's recovery would be reduced accordingly.

In Pari Delicto

In addition to relying on the Texas Proportionate Responsibility statute to bar or reduce a plaintiff's recovery, an accountant-defendant might rely on common law equitable principles of *in pari delicto* to bar a plaintiff's recovery.¹¹¹ *In pari delicto* means "in equal fault" and when it applies, the courts "will leave the parties as they find them,"¹¹² meaning that recovery is barred altogether. As noted in the Third Interim Report, the Second Circuit has observed a "paucity" of cases in Texas applying the doctrine of *in pari delicto*, but the doctrine may apply when the fault of the parties is "mutual, simultaneous, and relatively equal."¹¹³

There are no Texas cases examining directly whether the common law of *in pari delicto* in the tort context survived the enactment of the Texas Proportionate Responsibility statute. However, in other contexts (such as the enforcement of contracts) the doctrine appears to remain in force.¹¹⁴ Assuming that the doctrine remains in force

¹¹¹ As noted in the Third Interim Report, this defense might apply under Texas or Oregon law. However, if a New York court determined that Oregon law applied (to an aiding and abetting breach of fiduciary duty claim), the court might apply the *Wagoner* standing analysis instead of considering similar issues in the context of the *in pari delicto* defense. The *Wagoner* rule is discussed in detail in the Third Interim Report and will not be repeated here. See Third Interim Report, Appendix B (Legal Standards), at 62-79.

¹¹² *Sacks v. Dallas Gold & Silver Exch., Inc.*, 720 S.W.2d 177, 180-81 & n.1 (Tex. App. 1986).

¹¹³ See *Official Comm. of Unsecured Creditors of Color Tile, Inc. v. Coopers & Lybrand, LLP*, 322 F.3d 147, 162 (2d Cir. 2003); see also Third Interim Report, Appendix B (Legal Standards), at 55-62.

¹¹⁴ See, e.g., *New Boston Gen. Hosp., Inc. v. Texas Workforce Comm'n*, 47 S.W.3d 34 (Tex. App. 2001).

notwithstanding the enactment of the Texas Proportionate Responsibility statute, a plaintiff found to be "in equal fault" with a defendant accountant would be unable to recover from the accountant on either a malpractice claim or a claim for aiding and abetting the breach of fiduciary duties.

IV. CONCLUSION

When an accountant provides professional services to a corporation, but fails to exercise the degree of care, skill and competence that reasonably competent members of the accounting profession would exercise under similar circumstances, then the accountant may be liable to the corporation for malpractice. In addition, if an accountant with knowledge of the facts giving rise to an officer's wrongdoing renders substantial assistance to the wrongdoer, the accountant may be liable for aiding and abetting that officer's breach of fiduciary duty.

An accountant may raise affirmative defenses to malpractice or aiding and abetting the breach of fiduciary duty claims, based on concepts of comparative fault as reflected in the Texas Proportionate Responsibility statute and the common law doctrine of *in pari delicto*. These defenses are dependent upon whether wrongful conduct of the corporate plaintiff's officers may be imputed to the corporation itself. Such imputation will occur under familiar agency principles when the wrongdoing at issue involves negligence. When the wrongdoing at issue involves intentional misconduct, however, the question of imputation will turn upon an inquiry as to whether the wrongdoing was on behalf of the corporation or against the corporation. To the extent that the wrongful conduct of the officers is imputed to the corporation, the corporation's recovery of damages for malpractice or the aiding and abetting the breach of fiduciary duty may be wholly or partially defeated.